EnCap Investments L.P.

EnCap Energy Capital Fund VIII

Quarterly Review

As of September 30, 2022

Confidential

ENCAP INVESTMENTS L.P.

EnCap Energy Capital Fund VIII

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Section I: Summary of Significant Events and Valuation

Activity for the three months ended September 30, 2022

Transactions		
Type	#	*$ in millions*
Commitments	0	0.0
Investments	0	0.0
Realizations-Cash	5	29.5

In October 2020, the life of Fund VIII was extended until December 31, 2022 as approved by a vote of the Limited Partners. EnCap agreed to waive all management fees during the life of the extension.

Fund VIII is considered fully funded. As such, there were no commitment or investment transactions during the quarter.

Fund VIII received cash distributions from the following portfolio companies ($ in millions):

Distributions:	
PennEnergy	$ 21.9
Enduring II	3.8
Phillips III	3.2
Payrock	0.4
Montage (formerly Eclipse)	0.2
	$ 29.5

Fund Performance Summary ($ in millions)

The table below presents investment performance since inception. A valuation by investment is incorporated in the subsequent table.

Date of Initial Investment	*Total Committed*	*Capital Invested*	*Realized Proceeds*	*Unrealized Value*	*Total Value*	*Gross IRR*	*Net IRR*
Nov-10	$ 3,761.7	$ 3,761.7	$ 2,601.3	$ 1,602.6	$ 4,203.9	2.5%	0.6%

Portfolio Status

Fund VIII

(As of September 30, 2022; $ in millions)

Company	Date of Initial Investment	Commitment	Total Capital Invested	Realized Proceeds	Unrealized Value	Total Realized Proceeds & Unrealized Value	ROI	Gross IRR
Realized or Substantially Realized Investments								
Caiman	Nov-10	$ 43.6	$ 43.6	$ 194.2	$ -	$ 194.2	4.5x	178.3%
Common II	Nov-10	26.9	26.9	44.8	-	44.8	1.7x	53.7
Lone Star II	Nov-10	14.2	14.2	1.1	-	1.1	0.1x	(30.2)
Silver Oak	May-11	73.7	73.7	22.0	-	22.0	0.3x	(28.3)
Talon II	Jan-11	131.6	131.6	-	-	-	0.0x	n/a
Venado	Feb-11	115.9	115.9	-	-	-	0.0x	n/a
Enduring II	Jun-11	170.3	170.3	496.1	0.2	496.3	2.9x	68.2
Tracker III	Apr-11	189.1	189.1	2.7	28.4	31.1	0.2x	(19.9)
Dorado	Jul-11	133.8	133.8	122.7	-	122.7	0.9x	(2.5)
Forge	Jul-11	279.7	279.7	253.3	10.2	263.5	0.9x	(1.9)
FireWheel	Aug-11	224.1	224.1	213.2	4.5	217.7	1.0x	(0.5)
Plantation V	Dec-11	207.0	207.0	21.6	-	21.6	0.1x	(49.8)
Halcon	Feb-12	330.0	330.0	347.5	-	347.5	1.1x	4.5
Brigadier	Mar-12	246.1	246.1	4.1	-	4.1	0.0x	(84.8)
Broad Oak	Jul-12	183.3	183.3	181.6	-	181.6	1.0x	(0.2)
Phillips III	Aug-12	92.6	92.6	36.2	89.0	125.2	1.4x	3.6
Grenadier II	Aug-12	33.3	33.3	48.5	-	48.5	1.5x	7.9
Common III	Sep-12	60.4	60.4	11.7	-	11.7	0.2x	(41.9)
Marlin	Sep-12	145.9	145.9	24.4	-	24.4	0.2x	(35.4)
Paloma III	Oct-12	51.2	51.2	107.6	-	107.6	2.1x	46.1
Payrock	Nov-12	66.8	66.8	305.5	3.5	309.0	4.6x	85.5
		2,819.5	**2,819.5**	**2,438.8**	**135.8**	**2,574.6**	**0.9x**	**(3.0)%**
Unrealized Investments								
Montage (formerly Eclipse)	Feb-11	358.2	358.2	96.8	45.4	142.2	0.4	
PennEnergy	Sep-11	584.0	584.0	65.7	1,421.4	1,487.1	2.5	
		942.2	**942.2**	**162.5**	**1,466.8**	**1,629.3**	**1.7x**	
		$ 3,761.7	**$ 3,761.7**	**$ 2,601.3**	**$ 1,602.6**	**$ 4,203.9**	**1.1x**	**2.5%**

Comparison to prior quarter
($ in millions)

	Valuation 6/30/2022	Valuation 9/30/2022	Q3 2022 Cash Inv. (Distrib.)	Valuation Increase (Decrease)	% Change in Unrealized from 6/30/2022	Comments (> $5MM and 5% change)
Montage (formerly Eclipse)	$ 46.5	$ 45.4	$ (0.2)	$ (0.9)	-1.9%	
Tracker III	31.4	28.4	-	(3.0)	-9.6%	
Enduring II	4.6	0.2	(3.8)	(0.6)	-13.0%	
Forge	10.2	10.2	-	-	0.0%	
FireWheel	4.4	4.5	-	0.1	2.3%	
PennEnergy	1,425.9	1,421.4	(21.9)	17.4	1.2%	
Phillips III	83.2	89.0	(3.2)	9.0	10.8%	Increase in KRP share price and sale proceeds
Payrock	3.1	3.5	(0.4)	0.8	25.8%	
	$ 1,609.3	$ 1,602.6	$ (29.5)	$ 22.8	1.4%	

Fund VIII Co-Investment

(As of September 30, 2022; $ in millions)

Company	Date of Initial Investment	Commitment	Total Capital Invested	Realized Proceeds	Unrealized Value	Total Realized Proceeds & Unrealized Value	ROI	Gross IRR
Realized or Substantially Realized Investments								
FireWheel	Aug-11	$ 83.0	$ 83.0	$ 79.0	$ 1.7	$ 80.7	1.0x	n/a%
Talon II	Jan-11	39.9	39.9	-	-	-	0.0	n/a
Forge	Jul-11	105.1	105.1	95.0	3.8	98.8	0.9	n/a
		228.0	**228.0**	**174.0**	**5.5**	**179.5**	**0.8x**	**(5.2)%**
Unrealized Investments								
Montage (formerly Eclipse)	Feb-11	250.4	250.4	53.8	30.8	84.6	0.3	
PennEnergy	Sep-11	165.4	165.4	18.6	402.5	421.1	2.5	
		415.8	**415.8**	**72.4**	**433.3**	**505.7**	**1.2x**	
		$ 643.8	**$ 643.8**	**$ 246.4**	**$ 438.8**	**$ 685.2**	**1.1x**	**1.0%**

Comparison to prior quarter

($ in millions)

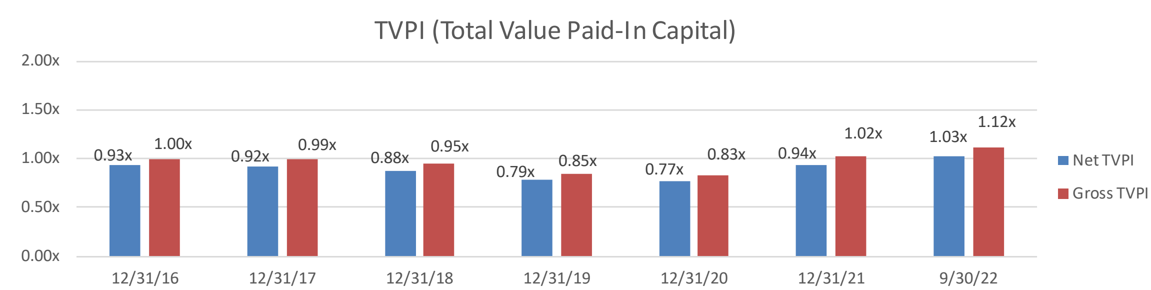
	Valuation 6/30/2022	Valuation 9/30/2022	Q3 2022 Cash Inv. (Distrib.)	Valuation Increase (Decrease)	% Change in Unrealized from 6/30/2022	Comments (> $5MM and 5% change)
FireWheel	$ 1.6	$ 1.7	$ -	$ 0.1	n/a	
Montage (formerly Eclipse)	31.5	30.8	(0.2)	(0.5)	-1.6%	
Forge	3.8	3.8	-	-	0.0%	
PennEnergy	403.8	402.5	(6.2)	4.9	1.2%	
	$ 440.7	$ 438.8	$ (6.4)	$ 4.5	1.0%	

Fund Status

($ in millions)

	12/31/16	12/31/17	12/31/18	12/31/19	12/31/20	12/31/21	9/30/22
Total Commitments	3,608.2	3,608.2	3,608.2	3,608.2	3,608.2	3,608.2	3,608.2
Total Paid-In Capital	3,622.0	3,788.5	3,953.8	3,968.5	4,110.1	4,110.1	4,110.1
Recallable Capital	403.5	452.2	518.8	518.8	518.8	518.8	518.8
% Total Capital Drawn*	89.2%	92.5%	95.2%	95.6%	100.0%	100.0%	100.0%
Remaining Commitment*	389.7	271.9	173.2	158.5	-	-	-
Investments at Cost	3,339.4	3,470.8	3,628.8	3,628.8	3,761.7	3,761.7	3,761.7
Investments at FMV	3,345.5	3,450.7	3,452.7	3,085.6	3,140.0	3,842.1	4,203.9
Gains (losses) - on unrealized companies	(776.6)	(204.0)	(168.6)	(520.3)	(447.5)	365.6	687.1
Gains (losses) - on realized companies	782.7	183.9	(7.5)	(22.9)	(174.2)	(285.2)	(244.9)
Gross Distributions	1,688.8	1,863.4	2,296.2	2,345.1	2,351.7	2,418.8	2,601.3
Cash Balance	20.6	38.0	20.9	9.5	10.8	11.3	19.5
# of Companies Funded	23	23	23	23	23	23	23
# of repeat teams	11	11	11	11	11	11	11
# of new teams	12	12	12	12	12	12	12
Realized above cost	7	8	8	9	7	8	8
Realized below cost	2	8	11	10	13	13	13
Unrealized above cost	3	1	2	1	-	1	1
Unrealized at cost	-	-	-	-	-	-	-
Unrealized below cost	11	6	2	3	3	1	1
Gross Distributions:							
% of total drawdowns	46.6%	49.2%	58.1%	59.1%	57.2%	58.9%	63.3%
% of committed capital	46.8%	51.6%	63.6%	65.0%	65.2%	67.0%	72.1%
Key Fund Valuation Metrics:							
Gross IRR	0.1%	(0.2)%	(1.7)%	(5.5)%	(5.9)%	0.5%	2.5%
Gross DPI (Distributions to investment)	0.51x	0.54x	0.63x	0.65x	0.63x	0.64x	0.69x
Gross RVPI (Residual value to paid-in capital)	0.50x	0.46x	0.32x	0.20x	0.21x	0.38x	0.43x
Gross TVPI (Total value to paid-in capital)	1.00x	0.99x	0.95x	0.85x	0.83x	1.02x	1.12x
Net to LPs:							
Net IRR	(2.9)%	(3.0)%	(4.4)%	(8.0)%	(8.5)%	(1.6)%	0.6%
DPI (Distributions to paid-in capital)	0.47x	0.49x	0.58x	0.59x	0.57x	0.59x	0.63x
RVPI (Residual value to paid-in capital)	0.46x	0.43x	0.30x	0.19x	0.19x	0.35x	0.39x
TVPI (Total value to paid-in capital)	0.93x	0.92x	0.88x	0.79x	0.77x	0.94x	1.03x

Historical Fund Performance (TVPI)



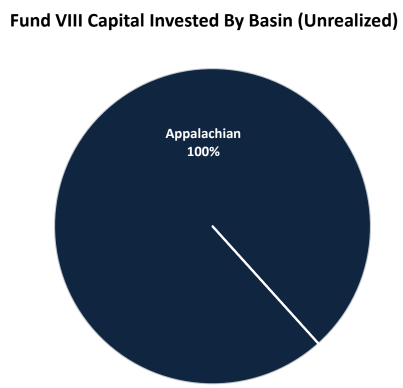
* Includes recallable capital; Fund VIII considered fully funded as of October 7, 2020 (end of 10 year life).

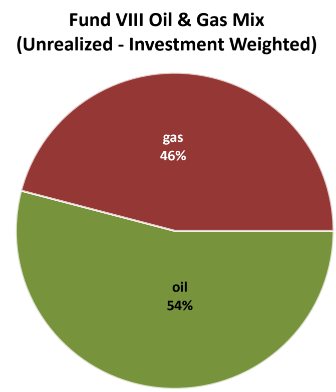
Projected Contributions and Distributions as a Percentage of Commitment

	2022	2023	2024
Contributions	0%	0%	0%
Distributions	12%	20%	0%

Portfolio Review and Discussion of Recent Transactions

Fund Capital Allocation





gas @20:1 mcf/bo
NGL's included in oil @0.6bbl/bo

Significant Events and Transactions

Tracker III - Will look to opportunistically exit the Earthstone stock position when market conditions justify doing so

Forge - Continued to hold 1,531 net royalty acres in Winkler, Loving, and Ward Counties, Texas that represent meaningful future value

PennEnergy - Made $30 million in distributions (~$22 million net to Fund VIII); continued running a 1 rig development program for 2022 and expects to continue making distributions through cash flow

Phillips III - Will look to opportunistically exit the KRP stock position when market conditions justify doing so

Environmental, Social and Governance Highlights

During the due diligence phase of our investment process, EnCap ensures that the prospective management team members are fully aligned with EnCap's Environmental, Social and Governance ("ESG") building blocks prior to making the investment decision. Upon partnering with a new team, EnCap requires each portfolio company to have a likeminded ESG policy and supporting policies and procedures in place. In addition, EnCap requires each portfolio company to report on significant ESG issues and provide details of ongoing ESG developments during each quarterly Board meeting. This information is used by EnCap to quantitatively measure ESG activities and the impact on the performance of each portfolio company.

During Q3 2022, EnCap managed Fund VIII in accordance with ESG policies. There were no material changes to the ESG risks and opportunities facing the portfolio, and there were no material ESG incidents to report during the quarter.

Additionally, refer to our third EnCap Sustainability Report covering 2021 available on our FIS DX website.

Other Reporting Matters

In addition to this report (which contains all fund financial statements in Section IV), the following reports net to each Limited Partner are available on our Investran DX website:

1. Statement of Partner's Capital, including allocation of the following:
    a. Management fees
    b. Net operating income (loss)
    c. Realized gains (losses)
    d. Unrealized gains (losses)
    e. Unrealized incentive allocation
    f. Incentive payments to the GP
    g. Contributions paid
    h. Distributions received
    i. Recallable distributions received
    j. Tax withholdings, if applicable
    k. Portfolio company summary cash flows

2. Status of Payout

3. ILPA Fee and Expense Reporting Template

Other reporting available on our Investran DX website includes:

1. Cash call and distribution notices

2. Quarterly management fee calculations

3. Supplemental fund and portfolio company information (available 45 days after quarter end; 105 days after year end)

    a. Fund organization information
    b. Portfolio company organization information
    c. Portfolio company financial information

4. Supplemental Schedule of Investments

5. All tax reporting

6. Annual audited financial statements

7. Advisory Board presentations

8. Legal documents

Please contact Katherine Cangelosi at Kcangelosi@encapinvestments.com if log on assistance is needed.

Section II: Industry Overview

Crude Oil Overview

Crude spot prices ("WTI") had a rough quarter finishing down ~26% QoQ, its first quarterly loss in two years. WTI closed the quarter settling at $79.91/Bbl driven mainly by high inflation data, which led to recession and demand fears. WTI started the quarter on a positive note, settling at $108.43/Bbl on July 1st, but finished the quarter down ~$26/Bbl. Subsequent to quarter-end, OPEC+ announced a production cut of ~2 MMBbl/d, which sent oil prices into the mid-$80/Bbl range and helped offset some near-term recession fears and eliminated any Strategic Petroleum Reserve ("SPR") releases impact. OPEC+ seems committed to supporting a ~$90/Bbl floor and frustrating the Biden Administration who is keen on trying to ratchet oil prices down before mid-term elections. Some near-term bullish oil price drivers include 1) a continued Russian/Ukrainian conflict and Russian threats to cut off oil sales to countries who try and impose price caps 2) SPR oil releases expected to end soon and 3) still strong demand readings outside the U.S. and in global mobility data. However, recent negative inflationary data continues to signal to the broader market that further rate hikes are imminent, leading to a decreased demand picture, which in turn is keeping oil prices relatively range bound. Most analysts believe that in 2023 the global oil supply should grow slightly, but fundamentally the market is still well positioned for healthy oil prices.

Natural Gas Overview

Natural gas spot prices ("Henry Hub") continued to remain strong during the quarter finishing roughly flat QoQ and up ~15% YoY. The 5-year natural gas strip finished the quarter at an average of $5.22/MMBtu, which is a ~13% increase QoQ. Near-term gas futures remain bullish as 1) Russian/Ukraine geopolitical tensions remain high 2) Global demand and U.S. exports continue to ramp and 3) we approach peak demand winter months. Medium to long-term fundamentals remain strong even as the world continues to transition to cleaner sources of fuel.

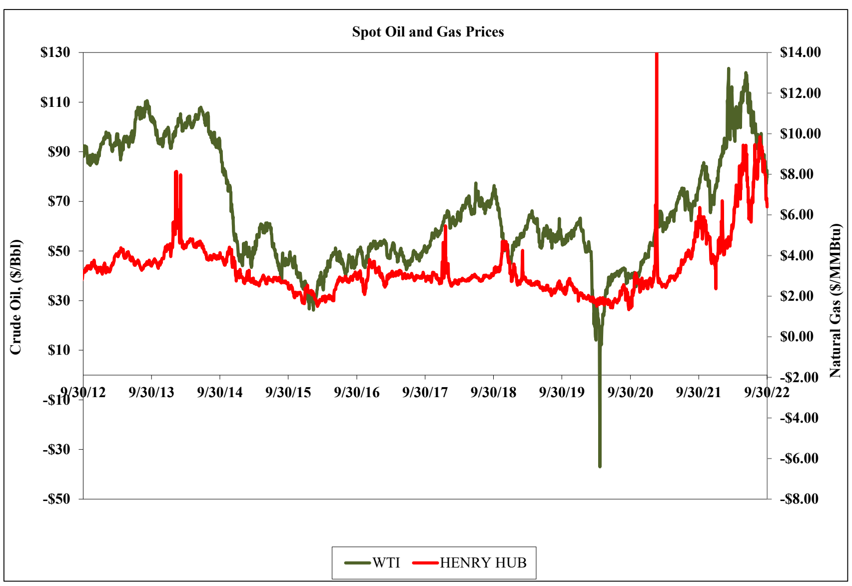


Figure 1: Oil & Gas Spot Prices

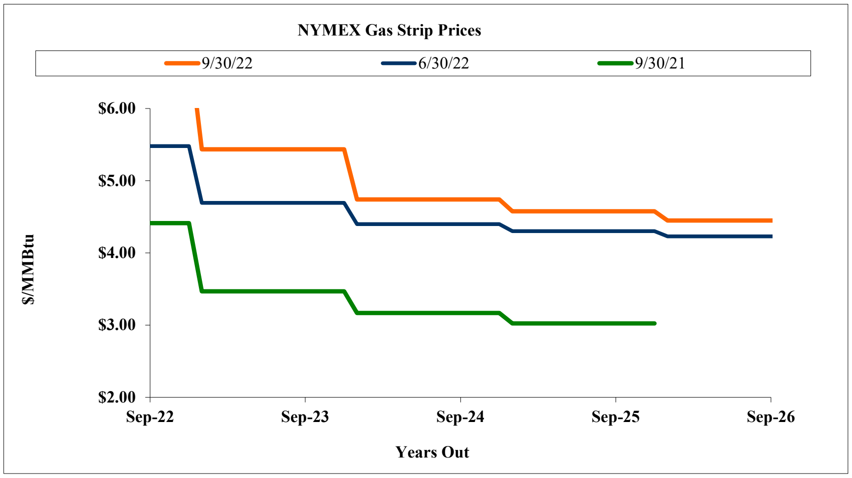


Figure 2: Natural Gas (Henry Hub) Strip Prices

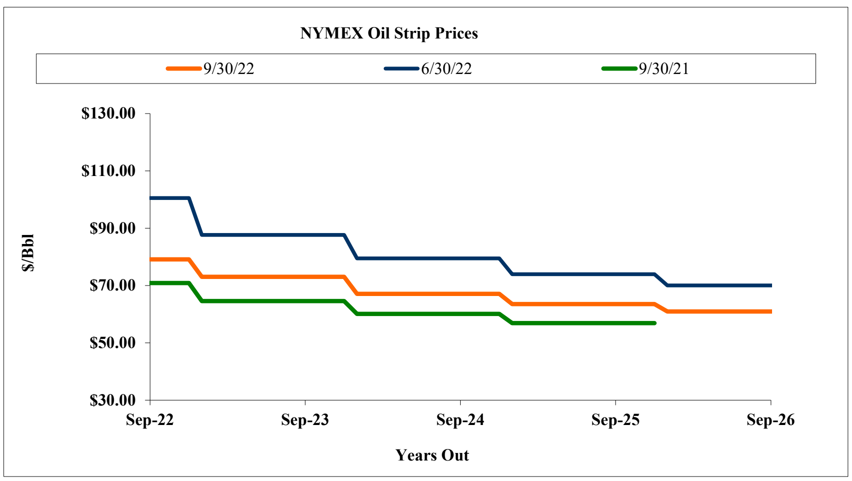


Figure 3: Crude Oil (WTI) Strip Prices

Drilling Activity

During Q3 2022, the total U.S. rig count (as measured by Baker Hughes) increased 2% QoQ to 765 rigs. This total rig count represented an increase of 47% YoY. The U.S. total natural gas rig count finished the quarter at 159 rigs, up from 157 rigs running at the end of Q2 2022. Year-over-year, the U.S. total natural gas rig count finished up 61%. The U.S. total oil rig count increased 2% during Q3 2022, moving from 594 rigs at the beginning of the quarter to 604 rigs at quarter-end. Year-over-year, the U.S. total oil rig count is up 43% or ~183 rigs.

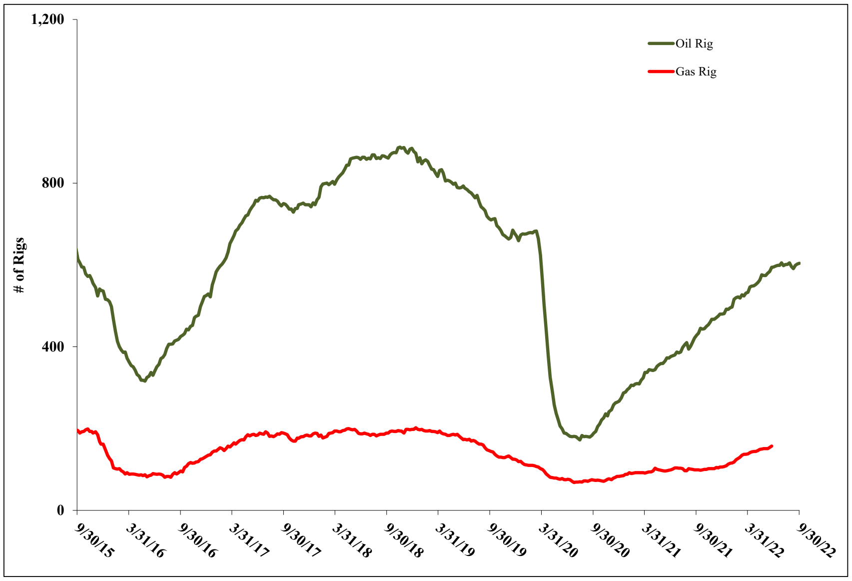


Figure 5: U.S. Total Onshore and Offshore Rig Count

M&A Activity

Despite commodity price volatility driven by recessionary fears and depressed equity valuations there were ~$16 billion of M&A upstream transactions in Q3 2022. Most deals were production heavy as buyers still continue to apply little value to upside inventory. The largest deals during the quarter were 1) EQT's purchase of Tug Hill/XCL Midstream for $5.2 billion and 2) Devon's $1.8 billion purchase of Eagle Ford assets from Validus Energy. These deals show that M&A is possible, but overall wide bid/ask spreads continue to hold the market back as buyers and sellers continue to be concerned about commodity price volatility. A number of stalled sales have also occurred as buyer friendly multiples are failing to surpass seller hold prices. A near-term acceleration in upstream M&A is possible if commodity prices are able to stabilize. Private equity sponsored acquisitions have also slowed as most firms are experiencing a challenging fundraising environment.

Report Sources: Enverus, Baker Hughes, Rapidan Energy Group, and U.S. Energy Information Administration.

EnCap Investments L.P.

Energy Capital Fund VIII

Section III: Portfolio Companies

Unrealized:

1. SOUTHWESTERN (formerly ECLIPSE)
2. PENNENERGY RESOURCES

Realized:

3. COMMON RESOURCES II
4. LONE STAR LAND & ENERGY II
5. CAIMAN ENERGY
6. TALON OIL & GAS II
7. PETROLEGACY ENERGY (formerly VENADO)
8. SILVER OAK ENERGY PARTNERS
9. ENDURING RESOURCES II
10. TRACKER RESOURCES III
11. DORADO E&P PARTNERS
12. FORGE ENERGY
13. FIREWHEEL ENERGY
14. PLANTATION V
15. HALCON RESOURCES
16. BRIGADIER OIL & GAS
17. BROAD OAK ENERGY II
18. PHILLIPS ENERGY PARTNERS III
19. GRENADIER ENERGY PARTNERS II
20. COMMON RESOURCES III
21. MARLIN RESOURCES
22. PALOMA PARTNERS III
23. PAYROCK ENERGY

Valuation Assumptions

Valuations are determined as follows (subject to adjustment for particular circumstances and review by the Advisory Board):

1) Private equity exploration and production investments held after the initial investment period (generally longer than twelve months unless an expansion from an earlier fund) are valued at the risk adjusted PV10 of the future cash flow stream. The future cash flow stream is based on third party engineered projections applying the NYMEX forward strip pricing as of the valuation date.

   The reserve categories were generally risked as follows:
   a. PDP – no discount applied
   b. PDNP – a 20% discount applied
   c. PUD – a 40% discount applied
   d. Probable – an 80% discount applied
   e. Possible – a 90% discount applied

   The average NYMEX strip prices by year as of September 30, 2022 were as follows:

	$/BO	$/MMBTU
2022	79.11	6.92
2023	73.06	5.44
2024	67.08	4.74
2025	63.57	4.58
2026+	60.97	4.45

   Unevaluated oil and gas leaseholds and other operating assets, such as gathering systems and processing plants, are valued in consideration of the original acquisition price and more recent public or private transactions in similar assets.

2) Non-producing and early stage mineral interests and ORRIs are valued at precedent transactions or discounted cash flows if underlying third-party reserve reports are available. Mature producing mineral interests and ORRIs are valued using a cash flow multiple of actual trailing 12 month cash flow. The cash multiple utilized is derived by taking into consideration market and asset specific factors including, but not limited to: location; life cycle or maturity of the asset; projected growth profile; precedent transactions; and comparable public market trading multiples.

3) Forge's value is based on a cash flow multiple of actual trailing 12 month cash flow.

4) Enduring II's value (Red Rocks) is based on the terms of their sale agreement.

5) Tracker III is valued based on 2,303,000 shares of Earthstone Energy (NYSE: ESTE) valued at the quarter end closing price of $12.32 per share.

6) Montage is valued based on 7,423,544 shares of Southwestern Energy (NYSE: SWN) valued at the quarter end closing price of $6.12 per share.

7) FireWheel valued based on net working capital.

8) Phillips Energy III value consists of ~5.3 million shares of Kimbell Royalty Partners (NYSE: KRP) valued at the quarter end closing price of $16.98 per share.

9) Payrock valued as follows:

   a. Remaining mineral acreage and ORRI's valued based on the terms of the expected sale agreement

   b. Remaining NWC from the balance sheet

Montage Resources Corporation (formerly Eclipse Resources, LP)

Company Description

Montage Resources, was a publicly-held oil and gas acquisition and development company based in Fort Worth, TX, with assets in the Utica and Marcellus Shales of eastern Ohio. Before its merger with Southwestern Energy in November 2020, the company was led by John Reinhart, the former Chief Executive Officer of Blue Ridge Mountain Resources. This investment was originally Eclipse Resources, managed by Ben Hulbert (CEO) and other senior executives.

Transaction Summary

In January 2011, Fund VIII made an initial equity commitment to Eclipse for $145 million. Management committed $5 million, providing an initial total equity commitment of $150 million to the company. During Q4 2011, the company's equity commitment was increased to $230 million ($79 million net to Fund VIII and $1 million net to management). In December 2011, a group of silent co-investors assumed $80 million of Fund VIII's commitment amount bringing Fund VIII's new maximum commitment amount to $144 million. These combined commitments provided the company with a $230 million total equity commitment.

During Q2 2013, Fund VIII increased its commitment from $144 million to $300 million, Fund VIII Co-Investment Fund increased its commitment from $80 million to $167 million, and Fund IX made a new commitment of $300 million for a total equity commitment of $773 million. During Q1 2014, Fund VIII and Fund IX both increased their commitments from $300 million to $358 million, Fund VIII Co-Investment Fund increased its commitment from $167 million to $199 million, and management increased its commitment from $6 million to $7 million for a total equity commitment of $923 million. In December 2014, Fund IX and Fund VIII Co-Investment Fund expanded their commitments to Eclipse by $189 million and $51 million, respectively, ($240 million total) to fund their portion of the PIPE offering. The investment is structured in the form of common equity with the investor group receiving 98.9% of distributed cash until an 8% IRR and 1.1x ROI, and thereafter distributions will be allocated on a graduated basis as certain ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post-Investment Activity

During Q2 2012, Eclipse closed on its joint venture with Antero Resources in its Utica Shale acreage located primarily in Noble County, Ohio. Eclipse sold a 70% working interest in ~30,000 gross acres for ~$120 million of sales proceeds ($6,000/acre). The acreage was sold at a premium compared to Eclipse's original cost basis in the play. Furthermore, the sale minimized the amount of outstanding risk capital allocated towards acreage and allowed the company to maintain a meaningful leasehold position within the emerging Utica Shale.

On March 15, 2013, Eclipse signed a stock purchase agreement to acquire a private, Ohio-based operator for $650 million. The seller's assets consisted of over 185,000 net acres located in Ohio with approximately 50,000 net operated acres predominately located in the core of the wet gas/condensate window of the Utica Shale that were largely contiguous with Eclipse's then-current acreage position and surrounded by impressive well results from operators in the area including Gulfport, Antero, PDC, Rex Energy, and CONSOL. The remaining 130,000+ net acres are located in the oil window of the Utica Shale and are largely HBP, offering potential upside in the future. Eclipse closed this acquisition in June 2013.

On June 19, 2014, Eclipse priced its initial public offering and began trading on the New York Stock Exchange under the ticker "ECR" the following morning. Through the offering, the company raised ~$550 million of net primary proceeds and ~$225 million of net secondary proceeds. The $27.00 IPO price implied a total company equity value of $4.3 billion, translating to >$40,000 per acre, ~40x 2014E EV/EBITDA, and ~7.2x 2015E EV/EBITDA. The company will use the primary proceeds to fund its capital development program and for other general corporate uses. The secondary proceeds were distributed to investors and returned ~29% of then-current capital invested for Fund VIII and Fund VIII Co-Invest and ~22% for Fund IX.

The IPO achieved a premium public valuation and accomplished the goal of capitalizing the company to execute its go-forward development plan, while also returning a meaningful amount of capital to investors. The EnCap Board members retained their seats on Eclipse's Board to help guide continued value creation, and EnCap will seek to prudently and opportunistically exit its stock position in Eclipse over time.

On January 29, 2015, Eclipse closed a $440 million PIPE offering including $315 million from EnCap and management ($29 million to Fund VIII, $218 million to Fund IX, $67 million to the Fund VIII Co-Investment Fund, and $0.6 million to management) and $125 million from outside institutional investors. Fund IX and Fund VIII Co-Investment Fund expanded their commitments to Eclipse by $189 million and $51 million, respectively, ($240 million total) to fund their portion of the PIPE offering. Proceeds from the offering significantly enhanced Eclipse's liquidity position and will be used to fund the company's 2015 capital program. Pro forma for the offering, EnCap and management hold 78% of the company's total outstanding stock.

On June 19, 2015, Eclipse announced the pricing of a $550 million private placement of senior unsecured notes with an 8.875% coupon, maturing in 2023. The notes were priced at 97.903% of face value, resulting in $525.5 million of net proceeds. Approximately $510.7 million of net proceeds from the offering will be used to redeem the company's current outstanding 12% senior unsecured PIK notes due 2018. The remaining net proceeds will be utilized to fund the company's 2015 capital program. This debt offering will provide more conventional debt terms and covenants and easier ability to access the capital markets in the future.

On June 28, 2016, Eclipse announced a follow-on equity offering for 37.5 million shares priced at $3.50 per share, equating to approximately $124 million in net proceeds. Proceeds from this offering will be used to fund the company's 2017 development plan. Subsequently, in December 2016, Eclipse announced the sale of ~9.900 net acres in eastern Noble County and western Monroe County, Ohio for $63.8 million. This acreage was non-core to the overall Eclipse acreage position and included minimal production of ~1 MMcfe/d. Proceeds from the follow-on offering and this divestiture strengthened Eclipse's balance sheet and provided liquidity to adequately capitalize the company to fund its 2017 development plan.

On January 22, 2018, Eclipse closed the previously announced "Flat Castle" acquisition from Travis Peak Resources for $93.7 million of Eclipse stock. The assets consists of ~44,500 net acres in Tioga and Potter Counties, PA. The acreage is contiguous with few unit size restrictions, making it highly suitable for super-lateral development. Eclipse estimates that the acquisition adds over 85 future dry gas drilling locations with EUR's between 2.0 and 2.3 Bcf per 1,000' of lateral. Additionally, the Company entered into an option purchase agreement to acquire Cardinal NE Holdings, LLC ("Cardinal") for an aggregate purchase price of $18.3 million in cash, which ECR subsequently sold to DTE in Q3 2018. Cardinal owned midstream infrastructure with associated gathering rights on the Flat Castle acreage acquired by Eclipse.

On February 28, 2019, Eclipse closed its all-stock merger with Blue Ridge Mountain Resources, Inc. As part of the transaction, Blue Ridge stockholders received consideration consisting of 4.4259 shares of Eclipse Resources common stock for each share of Blue Ridge common stock, before adjustment for a 15-to-1 reverse stock split of Eclipse Resources common stock to be effected concurrently with closing of the Transaction. Upon completion of the merger, Eclipse Resources changed its name to Montage Resources Corporation and now trades on the New York Stock Exchange under the symbol "MR".

On November 13, 2020, Montage closed on its previously announced all-stock merger with Southwestern Energy. Montage shareholders received 1.8656 shares of Southwestern for each Montage share. Upon closing the transaction, EnCap with its Funds collectively owned ~26.2MM shares of Southwestern and Fund VIII held ~7.4MM shares of Southwestern, representing ~3.7% and ~1.0% ownership, respectively. Currently, Fund VIII holds 0.7% ownership in Southwestern after the company acquired Indigo Natural Resources in a $2.7 billion transaction including $1.6 billion in stock.

Recent Events

We intend to closely monitor the performance of SWN and opportunistically exit the stock when market conditions justify doing so.

Valuation ($000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Feb-11	$358,240	$96,809	$45,432	$142,241	0.40x	N/A

PennEnergy Resources, LLC

Company Description

PennEnergy Resources, LLC, is a Pittsburgh, PA-based independent oil and gas company focused on the Marcellus Shale. The management team consists of Rich Weber (CEO) and Greg Muse (COO). Mr. Weber was formerly President and COO of Atlas Energy (NASDAQ: ATLS), where he served from 2006 up until the company's $4.3 billion sale to Chevron in early 2011. Prior to Atlas Energy, Mr. Weber was with various venture capital and investment banking firms and, most notably, head of the Energy Investment Banking Group at McDonald & Company. Mr. Muse was formerly a Senior VP of Operations at Atlas (after a 28-year career at Marathon Oil), where he oversaw a 300-person team focused on drilling horizontal wells in the Marcellus Shale. The company's strategy is to 1) build an attractive leasehold position in the dry gas window of the Marcellus Shale by buying 5 to 10 year leases in proven areas with known economics, 2) pursue a development program on that acreage to steadily increase reserves, production and cash flow and 3) opportunistically exit the investment.

Transaction Summary

In September 2011, PennEnergy was formed with a $300 million total equity commitment comprised of $298 million from EnCap Fund VIII and $2 million from the management team. During Q4 2011, Fund VIII Co-Invest assumed $80 million of Fund VIII's initial commitment amount bringing Fund VIII's new maximum commitment to $218 million. Subsequently, Wells Fargo Energy Capital invested $15 million in common equity bringing the total equity commitment to $315 million. In Q1 2015, the commitment was expanded to $373 million 8/8ths, $253 million and $93 million net to Funds VIII and VIII Co-Invest, respectively. In Q4 2015, the commitment was expanded to $405 million 8/8ths, $275 million and $101 million net to Funds VIII and VIII Co-Invest, respectively. Additionally, in Q4 2016 the commitment was expanded to $530 million 8/8ths, $373 million and $118 million net to Funds VIII and VIII Co-Invest, respectively. The investment is structured in the form of common equity with the investor group receiving 99.4% of the available cash flow until an 8% IRR is earned; thereafter, distributions are allocated on a graduated basis as IRR and ROI targets are met. Fund VIII holds a majority position on the Board of Managers.

Post Investment Activity

In July 2012, the company closed on an acreage acquisition in Armstrong and Butler counties, PA, in the dry gas window of the Marcellus Shale. The acquisition, along with subsequent fill-in leasing, provides the company with a substantial ~37,500 net acre position in an area of the Marcellus that has exhibited some of the most compelling dry gas well economics. The company has also aggregated a 36,000 net acre position in Beaver and Butler Counties, PA, prospective for wet gas Marcellus and Upper Devonian, with additional dry gas potential from the Utica. PennEnergy has gridded over 1,000 gross horizontal locations with total reserve potential of over 8 Tcfe. The company initially focused on the dry gas block, bringing online 20 wells before halting its drilling program in the summer of 2014 due to falling commodity prices and expansion of the Appalachian Basin basis differential. PennEnergy's recent efforts have targeted the wet gas block, testing two wells in early 2014, one each in the Marcellus and Upper Devonian, with encouraging results. To-date the company has turned in line 84 wells across its wet and dry gas acreage.

On September 28, 2018, PennEnergy acquired substantially all of the assets of Rex Energy Corporation ("Rex") for a cash purchase price of $600.5 million. The assets acquired include cash accounts of $29.5 million held by Rex used to collateralize firm transportation contracts that were released to PennEnergy at close, effectively making the total purchase price $571.0 million. The company funded the acquisition with ~$100.0 million of equity from its remaining equity commitment with the balance funded with debt proceeds under its revolver. The Rex acquisition was underpinned by $740.0 million of PDP PV-10 and added over 450 economic drilling locations, 246MMcfe/d of production, and ~88,000 net acres directly offset to PennEnergy's existing acreage footprint in Armstrong, Beaver, and Butler Counties, PA.

After completing the Rex acquisition, PennEnergy was fully drawn on its equity commitment. In Q4 2018, PennEnergy's commitment was expanded by ~$270 million ($211 million net to Fund VIII, $47 million net to Fund VII Co-Invest, $10 million net to Well Fargo Capital, and $1.7 million net to management). Immediately following the equity expansion, PennEnergy utilized $100 million of its new equity to reduce borrowings under its credit facility. The remainder of the commitment will provide dry powder for future consolidation opportunities.

In Q4 2020, PennEnergy announced the sale of its midstream system, Pine Run Midstream, to Stonehenge Energy Resources for $181MM of upfront cash and $34MM in earnout based on certain performance hurdles in the future. PennEnergy owns a 50.1% interest in Pine Run Midstream and will receive ~$71MM of proceeds at closing (February 2021). Proceeds from the sale will be utilized to repay borrowings on its credit facility.

Recent Events

During Q3 2022, PennEnergy made $30 million in distributions (~$22 million net to Fund VIII). The company plans to continue making distributions through cash flow and estimates an incremental $100+ million through year end 2022.

The company is currently running a one-rig program and plans to maintain or slightly grow production in 2022. PennEnergy has reduced leverage to under ~1.0x and expects to utilize free cash flow to continue making distributions going forward.

Valuation ($000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Sep-11	$583,953	$65,726	$1,421,373	$1,487,099	2.55x	N/A

Common Resources II, LLC

Fully Realized

Company Description

Common II is a Woodlands, Texas based oil and gas company focused on creating value opportunistically through the drill-bit. The company was created on the heels of the sale of Common Resources, LLC (Common I), a Fund VI and Fund VII portfolio company that sold assets in May 2010 in two transactions for a combined purchase price of $805 million, providing the EnCap funds with a 3.0x ROI and 119% IRR. Common I was successful in building core acreage positions in both the Haynesville and Eagle Ford Shales and drilling wells in each of these areas in order to establish their resource potential. Common II's management team consists of the same core group of individuals that were instrumental in the value creation process in Common I and will be led by Tom Jones (CEO) and Roger Jarvis (Chairman). Mr. Jones has over 25-years of industry experience in various senior engineering and operations roles with Chevron, Torch Energy and others. Mr. Jarvis previously served as President and CEO of Spinnaker Exploration from its inception in 1996 through its eventual sale to Norsk Hydro for $2.6 billion in December 2005. Additional management members consist of the core technical and operating team from Common I.

Consistent with its prior strategy, Common II will focus on building core positions in domestic unconventional resource plays through ground floor leasing and farm-in agreements with industry players and drilling wells to delineate the economic viability of the areas.

Transaction Summary

EnCap and Pine Brook Road Partners (who partnered with EnCap in Common I) will each commit $200 million to Common II for a total Investor Group commitment of $400 million. EnCap's $202 million commitment amount is allocated between Fund VII ($102 million) and Fund VIII ($100 million). Management will commit $10 million providing the company with a $412 million equity commitment. The investment is structured in the form of common equity with the investor group receiving 97.1% of distributed cash until an 8% IRR, and thereafter, distributions will be allocated on a graduated basis until certain IRR and ROI targets are met. The board of directors will be jointly controlled by EnCap and Pine Brook with each having two representatives of a seven-member board. EnCap's approval is required for all material board decisions.

Post Investment Activity

Common II built a sizeable acreage position (~190,000 net acres) in the Midland Basin of West Texas prospective for a number of emerging liquids-rich plays, including the Cline and Wolfcamp. The company drilled several initial wells in late 2011 to test certain formations and gain critical geologic data. Common II analyzed the results of those wells along with other available industry data to determine the most compelling plan moving forward, which was to engage a sale advisor and market the properties.

In Q3 2012, the company closed the sale of its entire acreage position to the same buyer in two separate transactions, resulting in a 1.7x ROI and 54% IRR on $26.9 million of invested capital.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Nov-10	$26,908	$44,815	$0	$44,815	1.67x	53.7%

Lone Star Land & Energy II, LLC

Fully Realized

Company Description

Lone Star II is a privately-held, Dallas-based oil and gas company led by Gray Powers and Mike Taylor. EnCap initially partnered with Mr. Powers and Mr. Taylor in 2007 through the formation of Lone Star I, a successful venture that resulted in a 4.0x ROI and 80% IRR on Fund VI's $19.2 million investment. Lone Star I was able to successfully build and sell an attractive asset base focused in the Bakken Shale, creating value while properly managing risk.

Prior to Lone Star I, management served as senior executives at Comstock where they led a very active asset evaluation and acquisition program. They and their team sourced and evaluated 2,000 potential acquisitions, made 150 offers totaling $3.4 billion and ultimately closed 56 acquisitions totaling $915 million in transaction value. In large part due to their activities, Comstock's enterprise value grew at a 30% annual rate during their tenure, resulting in a 24x return to the common stockholders. Consistent with the growth strategy pursued in Lone Star I, Lone Star II will rely on management's extensive industry contacts and technical expertise to (i) source acquisitions of producing properties with behind-pipe and drill-bit oriented upside, and (ii) pursue acreage and drilling opportunities in low-risk resource play areas.

Transaction Summary

In August 2010, Lone Star II was formed with a $100 million total equity commitment comprised of $93 million from EnCap and $7 million from management. EnCap's $93 million commitment is allocated between Fund VII ($46.5 million) and Fund VIII ($46.5 million). EnCap's investment is structured in the form of common equity with Funds VII and VIII receiving 93% of distributed cash until an 8% IRR and a 1.25x ROI is earned; thereafter, distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

Lone Star II initially acquired a 21,010 acre position in Southern Wyoming prospective for the Niobrara Shale and subsequently drilled and completed six horizontal Niobrara wells with mixed results. The company divested the majority of its Wyoming properties in 2014.

In 2011, Lone Star acquired a 20,000 acre position in the Barnett Shale oil play. Despite encouraging early time well results, the Barnett suffered from takeaway capacity restrictions and falling commodity prices that has since made further development of the play uneconomic in the current environment.

The company has also aggregated smaller non-operated working interest positions in the Bakken Shale play as operators have focused their time and capital on their larger operated positions. Lone Star II has selectively participated in wells as they are proposed based on a thorough analysis of individual well economics.

In Q4 2019, management bought out EnCap's interest in Lone Star II. Fund VIII received total distributions of $0.9 million.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Nov-10	$14,205	$1,140	$0	$1,140	0.08x	(30.2)%

Caiman Energy, LLC

Fully Realized

Company Description

Caiman Energy is a Dallas-based midstream company pursuing a portfolio of greenfield projects in the Marcellus, primarily in the wet gas area in West Virginia. Caiman is led by a top midstream industry management team comprised of Jack Lafield, Danny Thompson, Rick Moncrief and Stephen Arata, representing approximately 115 years of experience in the midstream industry. Most recently, Mr. Lafield and Mr. Thompson were part of the executive management team with Crosstex Energy as Executive Vice President of Corporate Development and Senior Vice President of Operations and Engineering, respectively, and Mr. Moncrief and Mr. Arata served as Executive Vice President/Chief Operating Officer and Executive Vice President/Chief Financial Officer for Regency Energy Partners, respectively. Management has a strong track record of designing, constructing, acquiring, operating, optimizing and expanding both greenfield and large, complicated midstream assets. Consistent with management's expertise, Caiman's growth strategy centers upon building a natural gas midstream business focused on the acquisition and development of gathering, transporting, processing and treating assets in areas where the team can leverage its past experience and relationships, including development of new, lower-risk midstream systems in the emerging resource plays.

Transaction Summary

In February 2009, EFM I committed $48.5 million to Caiman. Management committed an additional $1.5 million providing total equity commitments of $50.0 million to the company. During May and July 2010, Caiman underwent a series of commitment expansions increasing Caiman's total commitment to $379.3 million, with EFM I committing $119.5 million, EnCap Fund VII committing $50.0 million, EnCap Fund VIII committing $50.0 million, other co-investors committing $156.0 million and management committing $3.8 million. The investment is structured in the form of common equity with the investor group receiving 97% of distributed cash until an 8% IRR and 1.25x ROI is earned, and thereafter distributions will be allocated on a graduated basis as certain ROI targets are met. EnCap/Flatrock holds a majority position on the Board of Managers.

Post Investment Activity

Shortly after formation in February 2009, Caiman began focusing on gas gathering and processing opportunities in northern West Virginia in the emerging Marcellus Shale play. The company executed its first profitable long-term gathering and processing agreement in Q4 2009, obtaining dedicated acreage and a volume commitment allowing it to begin construction of its pipeline and processing system. Caiman continued to execute numerous additional contracts and established a franchise in the Marcellus with its rich gas gathering and processing system.

On April 27, 2012, Caiman Energy completed the sale of its Caiman Eastern Midstream, LLC subsidiary ("Caiman Eastern") to Williams Partners L.P. (NYSE: WPZ) for $2.5 billion, consisting of $1.8 billion in cash and ~11.8 million shares of WPZ common units which were subsequently sold.

In June 2016, management closed on its sale of the Caiman Penn assets to LPR Energy for $4.2 million. Post-closing, Caiman distributed $9.5 million of remaining cash to the equity owners, which resulted in a $0.8 million distribution to Fund VIII, generating an ultimate 178% IRR and 4.5x return on Fund VIII's invested capital of $43.6 million.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Nov-10	$43,555	$194,219	$0	$194,219	4.46x	178.3%

Talon Oil & Gas II LLC

Fully Realized

Company Description

Talon II is a privately held, Dallas-based independent oil and gas company formed by a team of oil and gas professionals led by Grant Henderson. The team initially partnered with EnCap Fund VI in January 2007 and pursued an acquire-and-exploit strategy focused on proved reserves with identifiable upside, principally in the Barnett Shale and Texas Panhandle. Subsequently, Talon I sold its Barnett Shale and Texas Panhandle assets to EnerVest and Devon, respectively, providing EnCap Fund VI with a 66% IRR and 2.7x ROI on its $136 million investment in the properties.

Talon II is managed by Grant Henderson, Chris Jackson, Joe Callaway and Scott Fowler, a team of seasoned E&P executives with more than 180 years of aggregate experience in A&D, land, technical evaluation, geology, drilling/production operations and oil and gas finance. Furthermore, the majority of the team has worked together for 19 years in key senior positions at Coda Energy, Belco Oil & Gas, Westport Resources, Kerr-McGee Corporation and Talon I where they have been involved in a total of $27.5 billion of oil and gas transactions, including Westport's $3.5 billion sale to Kerr-McGee and ultimately Kerr-McGee's $18 billion sale to Anadarko in August 2006. In 2012, Talon II acquired Elephant Oil & Gas and added Elephant founders Bradley Williams and Nick Varel to the Talon II management team. Williams and Varel bring significant lease-and-drill experience to the Talon II team having formed Elephant Oil & Gas in 2006 where they subsequently acquired and sold over 125k net acres in the Fort Worth, Midland and Delaware basins. Talon II will pursue a combination of both acquire-and-exploit and low-risk acquire-and-drill strategies to develop existing resource plays.

Transaction Summary

In December 2010, Talon II was formed with a $250 million total equity commitment. In June 2011, the commitment was increased by $150 million to allow the company to quickly capitalize on attractive larger, strategic opportunities in the marketplace. Each of the existing investors, including management, participated for their pro-rata share resulting in a $400 million total equity commitment comprised of $264 million from Fund VIII, $80 million from Fund VIII Co-Invest, $40 million from institutional co-investors and $16 million from the management team.

In early 2015, Talon supplemented its team in order to pursue new opportunities. In order to (i) more adequately capitalize the team to pursue larger, strategic acquisitions; (ii) better align the timeline of future assets with the rest of the fund in which they will be housed; and (iii) free up liquidity for other Fund VIII companies with more immediate capital needs, Talon III was formed in Fund X. Contemporaneously, Talon II's commitment was reduced to $298 million consisting of $197 million from Fund VIII, $60 million from Fund VIII Co-Invest, $30 million from institutional co-investors and $12 million from the management team. Talon II's assets will remain in Fund VIII as they are largely non-op and require minimal oversight.

The investment is structured in the form of coequity with the investor group receiving 96% of the available cash flow until an 8% IRR is earned; thereafter, distributions are allocated on a graduated basis as IRR targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

Talon II held a 30% interest in 130,000 gross acres in Lee County, Texas prospective for the Eagle Ford shale operated by EnCap-backed Venado Oil & Gas. The partnership delineated its eastern Eagle Ford position during 2013 and 2014 through the drilling of 38 Eagle Ford wells, including 12 wells that were not completed.

In early 2H 2014 the partnership initiated a sales process for this property with Jefferies hired as an advisor. Due to the decline in commodity prices and uncertainty in the M&A market, management suspended the sale process in Q4 2014.

In Q3 2015, Talon, alongside asset operator PetroLegacy Energy, LLC, completed two Eagle Ford wells utilizing a new completion technique focused on enhancing both initial production and ultimate recovery, which resulted in a production uplift over previous well results.

In Q1 2017, the partnership engaged JP Morgan to market its Eagle Ford assets. On May 19, 2017, Talon II entered into a PSA with SFC Energy-backed Armor Energy to sell the Horseshoe asset for $50 million on an 8/8ths basis. The transaction closed in Q2 2017.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jan-11	$131,623	$0	$0	$0	0.00x	N/A

Venado Oil & Gas, LLC

Fully Realized

Company Description

Venado Oil & Gas, LLC ("Venado") is an Austin, Texas based privately held oil and gas company focused on lease-and-drill opportunities and proved reserve acquisitions. The management team consists of Scott Garrick (President / Geologist), Paul Lee (EVP – Finance and Business Development) and Jody Sullivan (EVP – Land). Prior to forming Venado, Mr. Garrick and Mr. Sullivan worked together for three years at San Isidro Development Company where they created significant value in the Eagle Ford, turning $66MM of 8/8ths capital into $218MM of 8/8ths exit value. Mr. Lee was formerly VP-Business Development for Pioneer Natural Resources where he worked on a number of acquisition, divestiture and joint venture transactions, including serving as the point person on the company's $1.3B Eagle Ford joint venture with Reliance Industries. Venado's focus was on South Texas in extentional areas of the Eagle Ford play.

Transaction Summary

In January 2011, Fund VIII committed $147 million to Venado. Management committed an additional $3 million, providing a total equity commitment of $150 million to the company. The investment is structured in the form of common equity with Fund VIII receiving 98% of distributed cash until an 8% IRR and 1.25x ROI is earned. Thereafter, distributions are allocated on a graduated basis until higher IRR and ROI targets are met. Fund VIII holds a majority position on the Board of Managers.

Post Investment Activity

After completing an extensive subsurface geologic study on the entire Eagle Ford trend, Venado has pinpointed specific areas in the oil and liquids-rich windows of the play which it believes contain a unique combination of acreage availability and economically attractive reserves potential. The company captured approximately 130,000 net acres which are owned 55% by the company, 30% by Talon II and 15% by Liberty.

In January 2013, Venado closed a capital raise with Riverstone Holdings LLC in which Riverstone committed $125 million funded on a promoted basis (1.6x ROI valuation) until a 40% interest is earned, after which they are pari passu with EnCap. With EnCap and Management's combined commitment of $150 million and Riverstone's commitment of $125 million, the company has a $275 million total commitment. Venado continued to develop their eastern Eagle Ford position during 2014 and drilled 38 Eagle Ford wells including 12 wells yet to be completed.

In early 2H 2014 Venado initiated a sales process for this property with Jefferies hired as an advisor. Due to the decline in commodity prices and uncertainty in the M&A market, Venado suspended the sale process in Q4 2014.

In Q3 2015, Venado completed two Eagle Ford wells utilizing a new completion technique focused on enhancing both initial production and ultimate recovery, which resulted in a production uplift over previous well results.

In Q2 2016, Messrs. Garrick, Lee, and Sullivan left the company to pursue other interests. Going forward, Venado will be contract-managed by Fund X-backed PetroLegacy II, which is led by a group of four executive team members that comprised the technical and business development talent that was a key part of Venado's operating team. Jason Churchill (CEO) has extensive operational expertise and experience managing teams within both Venado and XTO Energy. Aaron Gutierrez (EVP of Asset Development & Engineering) managed a multi-disciplinary team of engineers across several different asset areas at Samson Resources. JD Braddock (EVP of Business Development & Land) led Venado's land team and played a key role in the land function at Broad Oak Energy.

In Q1 2017, the Venado, Talon II and Liberty engaged JP Morgan to market its Eagle Ford assets. On May 19, 2017, Venado entered into a PSA with SFC Energy-backed Armor Energy to sell the Horseshoe asset for $50 million on an 8/8ths basis. The transaction closed in Q2 2017.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Feb-11	$115,857	$0	$0	$0	0.00x	N/A

Silver Oak Energy Partners, LLC

Fully Realized

Company Description

Silver Oak is a Fort Worth, Texas based privately held oil and gas company focused on building a portfolio of oil-prone projects in areas with known vertical production and upside potential related to the application of horizontal drilling and completion technologies and/or waterfloods. The management team consists of five partners that worked together at Encore Acquisition Company, most recently as senior managers. Of Encore's two business units, Bill Francis (Geology) ran the Southern Division, while Greg Barnes (Engineering) ran the Northern Division along with Wayne Bailey (Land), Steve Asbill (Operations) and Curtis Priddy (Drilling). While at Encore, management was instrumental in the growth of the company until its 2010 sale to Denbury Resources for $4.5 billion. The team created significant value through their involvement in the drilling of over 800 horizontal wells, largely in the Williston Basin and West Texas, and evaluation of many of Encore's 37 acquisitions with an aggregate transaction value of $2.4 billion. Prior to joining Encore, each had over 20 years of oil and gas experience. Management's strategy with Silver Oak is to capture projects through a combination of producing-property acquisitions focused on acquiring upside potential for little-to-no cost, grass-roots leasing efforts in new resource play concept areas and joint venture partnerships.

Transaction Summary

In May 2011, Silver Oak was formed with a $200 million total equity commitment comprised of $180.3 million from Fund VIII, $16.0 million from Chase Oil and $3.7 million from the management team. The investment is structured in the form of common equity with the investor group receiving 98.15% of the available cash flow until an 8% IRR and 1.25x ROI is earned; thereafter, distributions are allocated on a graduated basis as IRR and ROI targets are met. Fund VIII holds a majority position on the Board of Managers.

Post Investment Activity

The company initially focused on the exploitation of its producing property acquisition in the Yegua Sands/Wilcox in Southeast Texas, which the company sold in Q4 2014, and the development of its ~10,000 net acres in the horizontal Woodbine play in East Texas.

Consistent with management's plan to add a third focus area to their portfolio, Silver Oak entered into a joint venture agreement in 2013 with Strat Land Exploration Co., a Tulsa, OK based exploration company with expertise in the Mid-Continent. Silver Oak and Strat Land jointly developed seven drilling projects across 12,000 gross acres in the Anadarko basin.

Silver Oak divested its non-operated mid-continent assets in Q4 2015 for approximately $5.5 million. The company also divested its Madison County assets for $10.5 million in Q2 2016.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
May-11	$73,659	$22,048	$0	$22,048	0.30x	(28.3)%

Enduring Resources II, LLC

Substantially Realized

Company Description

Enduring Resources is a privately held, Denver-based independent oil and gas acquisition and development company focused on acquiring and developing oil and natural gas reserves in North America. The management team is led by Barth Whitham, former President and COO of Westport Resources, and Brian Bess, Former VP of Engineering of Westport Resources. This team has extensive industry experience in the Rocky Mountains, South Texas and Gulf Coast and seeks to diversify the company's asset base with emphasis on longer life assets. The team initially partnered with EnCap in Enduring I through a combined $310.6 million commitment from EnCap Fund V and VII ($855 total commitment) and pursued a multi-basin strategy (East Texas, South Texas, Robertson County, Texas and Uinta Basin). In December 2010, Enduring closed the sale of its South Texas Eagle Ford Shale assets to Talisman and Statoil for $1.3 billion. Combined with the sale of Enduring's East Texas assets in 2008 and additional distributions from top leases, holdbacks, and remaining assets in 2011 and 2012, EnCap Fund V achieved a 2.5x ROI and 41% IRR on $162.2 million invested, and EnCap Fund VII achieved a 2.3x ROI and 332% IRR on $41.7 million invested.

The management team of Enduring II has remained the same as it was in Enduring I. Enduring II is following a similar strategy which entails pursuing a diverse portfolio of acquisition and exploitation opportunities in central onshore U.S. basins with an emphasis on longer life assets.

Transaction Summary

In May 2011, Enduring II was formed with a $600 million equity commitment comprised of $180 million from EnCap Fund VIII, $110 million from EnCap Fund VII, $75 million from Trilantic, $52 million from CSFB, $52 million from Avista, $75 million from Liberty, and $33 million from the management team. In Q4 2013, Enduring II's total equity commitment was expanded by $100 million by its existing investors to $700 million in order to fund additional development of the company's existing asset base, primarily in the Southern Midland Basin. Enduring II's expanded $700 million equity commitment is comprised of $210.0 million from EnCap Fund VIII, $128.3 million from EnCap Fund VII, $87.5 million from Trilantic, $60.7 million from CSFB, $87.5 million from Avista, $87.5 million from Liberty, and $38.5 million from the management team.

The investment is structured in the form of common equity with the investor group receiving 90.5% of the available cash flow until an 5% IRR and 1.0x ROI is earned; thereafter, distributions are allocated on a graduated basis as IRR targets are met. EnCap holds two of nine board seats and has negative control over all major decisions.

Post Investment Activity

In Q4 2011, Enduring II purchased the remaining assets out of Enduring I for $24.8 million (approved by Advisory Board in December 2011). These assets consisted mainly of ORRIs with ~$12.8 million of PDP PV-10 value and ~46,000 net acres located primarily in the Uinta Basin in Utah.

In Q3 2014, Enduring II closed on the sale of its Southern Midland Basin (SMB) Assets to an affiliate of American Energy Partners ("AEP") for $2.5 billion in an all-cash transaction. These assets included ~63,000 net acres in the core of the Wolfcamp play in Reagan, Irion, and Crockett Counties, Texas, which the company built through a series of leasing and acquisitions. Offset operators in this area include EOG, Pioneer, and Apache. Management was successful in building out a highly economic horizontal Wolfcamp development program through drilling or participating in over 150 wells and establishing a sizeable reserve and production base.

In subsequent quarters, Enduring II divested its non-core assets in the Eastern Midland Basin, Delaware Basin, and Uinta Basin that had limited value. Fund VII and Fund VIII retained their pro rata interest (11.7% and 19.2% ownership, respectively) in the ORRIs that Enduring II purchased from Enduring I.

Recent Events

In July 2022, EnCap closed the sale of its interests in the retained ORRIs to a private buyer for $7.2 million in cash proceeds at closing (38% Fund VII and 62% Fund VIII). A cash distribution was made at closing, and we expect to make one or more smaller distribution(s) over the next few months related to a contingency payment and a holdback related to the sale.

Valuation ($000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jun-11	$170,250	$496,076	$203	$496,279	2.91x	68.2%

Tracker Resources Development III, LLC

Substantially Realized

Company Description

Tracker III was a privately held, Denver-based independent oil and gas company focused on acquiring and exploiting oil and gas properties in the continental United States. The company was managed by Jeff Vaughan, Shawn McCarter, Jim Wason and F.X. O'Keefe, all of whom are seasoned oil and gas experts with a history of value creation. Tracker I was a Sandefer Capital Partners portfolio company formed in 2004 that sold the majority of its properties in 1H 2006. EnCap initially partnered with the Tracker team in May 2006 through Tracker II, which ultimately partnered with Red Arrow Energy and the Ziff family to form TRZ Energy and subsequently sold its Bakken assets to Hess for $1.05 billion in December 2010, providing EnCap Fund V with a 2.9x ROI and 40% IRR on $49.3 million invested and EnCap Fund VII with a 3.4x ROI and 116% IRR on $12.3 million invested. The Tracker II management team was the driver behind TRZ's success, which utilized $380 million in equity and debt to build and develop its Bakken assets.

Tracker III was led by the core of the Tracker II management team and employed a similar acquire-and-develop strategy as Tracker II, targeting assets in established oil and gas fields and unconventional resource plays.

Transaction Summary

In April 2011, Tracker III was formed with a $400 million total equity commitment comprised of $196 million from Fund VIII, $196 million from the Ziff family (1901LP formerly ZBI Ventures) and $8 million from the management team. The investment is structured in the form of common equity with the investor group receiving 98% of the available cash flow until an 8% IRR and 1.0x ROI is earned; thereafter, distributions are allocated on a graduated basis as IRR targets are met. EnCap and the Ziff family (1901 LP formerly ZBI Ventures) hold two board seats each with management holding two seats on the six-member Board of Managers. EnCap had negative control on all major decisions.

Post Investment Activity

Since formation, Tracker III built a position in three key areas: the Bakken Shale, Utica Shale, and the Permian Basin.

In the Bakken Shale, the company established a non-operated acreage position, totaling ~3,040 net acres prospective for both the Bakken Shale and Three Forks formations. As of September 2014, the assets were producing ~900 net boepd (85% oil). In Q3 2014, Tracker engaged TPH to begin a marketing process on its Bakken assets. TPH first approached the largest operators of Tracker's non-operated positions on an operator-specific approach, and received offers from Continental, Oasis, and Slawson for a combined $67.5 million for ~2,200 net acres. Following the sale, TPH initiated a broader marketing process for the remaining non-operated ~2,600 net acres. As a result of the process, Tracker received attractive initial bids by several interested parties, but ultimately put the sales process on hold due to a strong reduction in buyer interest amid the rapid decline in crude prices in Q4 2014.

In December 2012, Tracker closed on the acquisition of ~4,700 net acres (100% held by production) in Irion County prospective for the horizontal development of the A, B, and C benches of the Wolfcamp formation and the Spraberry Shale, Canyon Sands, and Cline Shale. The asset is located in an active area of the Permian Basin, with operators including Apache and Pioneer actively drilling directly offset to Tracker's leasehold position with encouraging results. The average net revenue interest throughout Tracker's first ~4,700-acre acquisition was 86%, which is well above the typical 75% NRI seen in the Permian and results in dramatically enhanced drilling economics. In Q4 2014, Tracker drilled two science wells across its Irion County position to obtain core data and modern well logs. In September 2015, Tracker closed the acquisition of an additional 6,173 net acres in Irion County, TX from EnCana for $36 million.

On April 1, 2016, Tracker closed a $28.6MM Irion County bolt-on acquisition from Apache consisting of 6,700 net acres (57% HBP).

In the Utica Shale, Tracker acquired ~23,000 gross (~14,000 net) acres from a large independent that are largely held by production primarily in Trumbull and Portage counties, Ohio, located in the rich condensate / volatile oil window of the Utica Shale. Within the entire Utica project area, Tracker partnered with Lario Oil & Gas under a 60/40 joint venture agreement where Tracker retains a 60% working interest and maintains operations on the entire leasehold position. Despite encouraging data from a vertical science well where Tracker III obtained log and core analysis, disappointing offset drilling results have caused the company to reevaluate any near-term drilling plans and the company expects to have minimal capital spend in the area in 2017.

In Q3 2016, Tracker sold its Chase Unit (622 net acres) in McKenzie & Mountrail Counties to QEP for $15.5MM and in Q4 2016 Tracker exited its remaining Bakken acreage for $38.1MM. Tracker's remaining Bakken acreage sold in Q4 2016 consisted of ~2,400 non-operated net acres in McKenzie & Mountrail Counties. Proceeds from both sales were used to fund capital expenses in the Permian (Irion County, TX).

In Q1 2017, Tracker continued to build and high grade its Irion County acreage position by acquiring 2,925 net acres from Fasken Oil for $30MM (~$7,405/acre less PDP and facilities). The transaction closed in April 2017.

During Q2 2017, Tracker initiated and closed a Drilling Joint Venture with Sequel Energy Group, LLC ("Sequel"). As part of the transaction, Sequel agreed to fund 55% of the D&C cost for a 50% WI in the wellbores of the company's 16 well drilling program in Irion County.

In March 2021, Tracker and its joint venture partner Sequel signed a PSA to sell their Irion County, TX assets to Earthstone Energy, Inc. ("ESTE") for $81.6 million cash and 6.2 million Earthstone Class A common shares (~$126.5 million of total proceeds).

Recent Events

Fund VIII currently holds 2.3 million Earthstone Class A common shares. EnCap will continue to monitor market conditions and remain opportunistic in its approach for an ultimate monetization for the Fund.

Valuation ($000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Apr-11	$189,140	$2,710	$28,373	$31,083	0.16x	(19.9)%

Dorado E&P Partners, LLC

Fully Realized

Company Description

Dorado E&P is a Denver based independent oil and gas company focused on the pursuit of low-risk acreage and drilling opportunities and proved reserve acquisitions. The management team consists of Mike Kennedy (President – Business Development and Operations), Dave Wheeler (EVP – Geosciences) and Steve Harpham (EVP – Reservoir Engineering). Management previously worked together at Ensign Oil & Gas where they consummated acquisitions, participated in infill and extension drilling and implemented waterfloods that resulted in significant value creation prior to the company's sale to Medicine Bow in 2003. After Ensign's sale, management went on to hold positions of increasing responsibility with several large independents (EnCana, El Paso and Forest). The company will initially focus its business development efforts in the Mid-Continent, specifically the Mississippian play where management has extensive experience.

Transaction Summary

In June 2011, Dorado was formed with a $150 million total equity commitment comprised of $147 million from Fund VIII and $3 million from the management team. The investment is structured in the form of common equity with the investor group receiving 98% of the available cash flow until an 8% IRR and 1.25x ROI is earned; thereafter, distributions are allocated on a graduated basis as IRR and ROI targets are met. Fund VIII holds a majority position on the Board of Managers.

Post Investment Activity

Dorado's initial focus was on the Mississippi Lime play where it assembled an 11,500 net acre position and drilled 13 wells. Given the variable results in the Mississippi Lime play, the company redirected its focus to the STACK play in Kingfisher County, where it drilled seven wells. Due to the mixed drilling results, EnCap decided to part ways with management and created a Management Service Agreement with Staghorn Petroleum (a Fund X-backed EnCap company) to manage the STACK assets for Fund VIII.

On March 21, 2017, Dorado, Fund X-backed Staghorn Petroleum and Fund VI-backed Staghorn I closed on the sale of a combined ~48,000 net acres and associated production located on the eastern side of the Oklahoma STACK play in Kingfisher/Garfield/Major counties to Apollo-backed Chisolm Oil and Gas Operating, LLC (formerly known as Zenergy Inc.) for $625 million of cash consideration. It is anticipated that this transaction will provide Fund VIII with ~$120 million of total distributions (after all holdbacks are received), which would generate a 0.9x cash-on-cash ROI (assuming no value given to Dorado's retained assets) on Fund VIII's total investment in Dorado of $133 million.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jul-11	$133,794	$122,700	$0	$122,700	0.92x	(2.5)%

Forge Energy, LLC

Substantially Realized

Company Description

Forge Energy is a San Antonio, Texas based independent oil and gas company. The management team consists of Barry Winstead (CEO), Danny Boone (Business Development) and Arnold Nall (Operations). Management previously worked together in various roles at Burlington for more than 20 years, including 10 years together in senior management positions. The three were instrumental in the success of Burlington's Mid-Con division until Burlington's acquisition by ConocoPhillips in 2006, turning the division into the largest and most profitable business unit in the entire company. The company also added Dan Weisel (previously worked in investment banking for 12+ years at JPMorgan Chase) to serve as CFO in 2014. The company will pursue a multi-basin acquire and exploit strategy primarily focused in the central United States ranging from the onshore Gulf Coast to the Canadian Border, targeting mature, long-life oil production in under-managed, out-of-favor areas with potential resource upside.

Transaction Summary

In July 2011, Forge Energy was formed with a $400.0 million total equity commitment comprised of $293.1 million from Fund VIII, $97.7 million from Pine Brook, $4.2 million from friends and family of management and $5.0 million from management. During Q4 2011, a group of co-investors assumed $80 million of Fund VIII's initial commitment amount bringing Fund VIII's new maximum commitment to $213.1 million. In Q3 2017, the total equity commitment was expanded to $500.0 million, comprised of $266.4 million from Fund VIII, $100.0 million from Fund VIII Co-Invest, $122.1 million from Pine Brook, $5.1 million from friends and family of management and $6.3 million from management. The investment is structured in the form of common equity with the investor group receiving 98.7% of the available cash flow until an 8% IRR and 1.0x ROI is earned; thereafter, distributions are allocated on a graduated basis as IRR and ROI targets are met. Fund VIII holds a majority position on the Board of Managers and controls all material decisions.

Post Investment Activity

Forge established three main project areas in the Permian Basin: (i) the Central Basin Platform ("CBP"), (ii) Winkler and Ward Counties in the eastern Delaware Basin, and (iii) Pecos County in the southern Delaware Basin extension. In October 2011, Forge began acquiring acreage and production in the Permian Basin prospective for the Clearfork and San Andres formations in Andrews and Gaines counties, on the CBP. Forge eventually assembled ~34,000 net acres in the CBP with a focus on horizontal San Andres. Forge drilled ~80 horizontal wells in this area. In Q3 2014, Forge engaged an advisor to evaluate a potential sale of its CBP assets. Following the downturn in oil prices, Forge decided to delay the marketing process until there was a recovery and an A&D market improvement. At the same time, Forge released both rigs running in Andrews County in January 2015 and reduced its drilling schedule to the minimum required to hold leases and drill out of cash flow.

Beginning in Q2 2013, the company aggregated a ~41,000 net acre land position at a price of less than $600/acre in a liquids-focused play in Pecos County, TX targeting the Wolfcamp and Bone Springs extensions from the Delaware Basin. The company subsequently sold down to a partner in order to reduce capital exposure. Forge initiated delineation efforts through a seven vertical well program that ultimately yielded results well below management's type curve expectations. In light of the industry downturn, the higher risk, extensional nature of this play coupled with the underperformance of these initial vertical wells attracted little to no market appetite for this asset. To satisfy a drilling obligation, Forge drilled and completed its first horizontal well targeting the Wolfcamp A, the Curiosity 2H in Q3 2016. Early production data implies oil recoveries in excess of 100 Bo/ft, exceeding management's 83 Bo/ft base case type curve and validating the potential asset value through the application of modern completions and choke management.

In Q4 2015 Forge acquired 2,560 net acres in Winkler County from Anadarko Petroleum Corporation (NYSE: APC) through a $23.0 million acquisition, implying an ~$9,000 per acre valuation. Since that time, Forge has grown this position to over 20,000 net acres through a strategic ground floor leasing program, while reducing its average cost basis.

In Q3 2017, Forge successfully closed on the sale of its CBP assets for a total consideration of $155.6 million in two separate transactions. The first is a $118.6 million all-cash offer from a private buyer to sell 19,738 net acres. The second transaction involved an acreage trade with a public independent whereby Forge traded away ~14,000 net acres in the CBP ("Fullerton" area) in exchange for 1,341 net acres within Forge's existing Delaware Basin footprint (valued at ~$37.0 million). Cash proceeds from the sale were used to pay down Forge's debt balance and fund a portion of future growth and development in the Delaware Basin.

On February 14, 2018, Forge closed on the previously announced sale of its Delaware Basin assets to Oasis Petroleum, Inc. (NYSE: OAS) for $483.4 million in cash and 46.0 million shares. At closing, after accounting for debt and other miscellaneous purchase price adjustments, Forge I received $436.9 million of cash proceeds from OAS, resulting in distributions to Fund VIII and Fund VIII Co-Invest of $233.0 million and $87.4 million, respectively, equating to a 0.8x ROI net to each Fund. Additionally, OAS issued 46.0 million shares to Forge I. The waterfall was crystallized at $11.45/share (based on the 10-day VWAP as of May 15, 2018), and the remaining shares were distributed according to this valuation (~18.8 million shares distributed to Fund VIII). These shares were subject to a lockup period that ended August 2018.

Of the 46.0 million shares, ~5.5 million shares were released from an indemnity escrow account and distributed according to the same valuation thereafter. Additionally, Forge I continues to hold 1,939 net royalty acres (normalized to a 12.5% royalty burden) in Winkler, Loving, and Ward Counties, Texas. We believe these non-cost bearing interests will likely represent meaningful future value for Forge I, which will further enhance the overall return net to EnCap.

In light of a volatile market environment that drove a severe downturn in oil and gas prices, as well as the unprecedented impact of the COVID-19 pandemic, Oasis Petroleum, Inc. filed for bankruptcy on September 30, 2020. In October 2020, Fund VIII and Fund VIII Co-Invest sold their remaining ~28.1 million shares for total proceeds of ~$5.3 million.

Valuation ($000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jul-11	$279,743	$253,343	$10,200	$263,543	0.94x	(1.9)%

FireWheel Energy, LLC

Substantially Realized

Company Description

FireWheel Energy is a Midland, Texas based independent oil and gas company focused on property and leasehold acquisition opportunities in the onshore United States. The management team consists of Kyle Hammond (President and CEO), Don Eubank (Vice President of Operations) and Alan Brown (Business Development and General Counsel). Management brings a wealth of knowledge and experience to the company with both Mr. Hammond and Mr. Eubank being Petroleum Engineers by education and most recently employed by XTO/Exxon in the Permian Basin division. Mr. Hammond has over 25 years experience in the oil and gas industry and worked with Oryx and Bogo Energy prior to joining XTO as VP Operations, Permian & Alaska. Mr. Eubank worked with Conoco for nine years followed by Bass Enterprises Production, Schlumberger, Samson Resources and XTO in various drilling engineer/manager roles over the next 16 years. Mr. Brown has worked as an attorney in the Midland area over the last 13 years focused on corporate oil and gas transactions resulting in impressive transaction experience and a deep contact base. The company's strategy is to utilize its experience and expertise to pursue both greenfield development and acquire and exploit opportunities with an initial focus on the Permian Basin and East Texas. Management will target both mature assets with upside potential as well as leasing undeveloped acreage.

Transaction Summary

In August 2011, FireWheel Energy was formed with a $300 million total equity commitment comprised of $296 million from Fund VIII and $4 million from the management team. In December 2011, a group of silent co-investors assumed $80 million of Fund VIII's commitment amount bringing Fund VIII's new maximum commitment amount to $216 million. In Q1 2015, Fund VIII's commitment was expanded by $43.2 million and the co-investors commitment by $16 million. These combined commitments provide the company with a $360 million total equity commitment. The investment is structured in the form of common equity with the investor group receiving 98.67% of the available cash flow until an 8% IRR and 1.0x ROI is earned; thereafter, distributions are allocated on a graduated basis as IRR and ROI targets are met. Fund VIII holds a majority position on the Board of Managers.

Post Investment Activity

Subsequent to closing its equity commitment in August 2011, FireWheel assembled a sizeable position primarily in Sterling and Mitchell Counties, Texas, prospective for the emerging Cline Shale oil play. Offset operators in the area include Chesapeake, EOG, Range Resources, Devon Energy and Laredo Petroleum. In order to manage risk and appropriately capitalize the company to develop the asset, FireWheel sold a 35% interest in this position to industry partners on a promoted basis. Proceeds from the JV were retained within the company and were used to develop and add to FireWheel's leasehold position. The company ultimately retained an approximate 140,000 net acre position and drilled nine horizontal wells (eight in Sterling and one in Mitchell), which yielded mixed but overall disappointing results.

During Q4 2012, FireWheel entered into a midstream infrastructure joint venture agreement with Lucid Energy Group, LLC, an EnCap Flatrock Midstream portfolio company. Under the terms of the JV, FireWheel dedicated its entire Cline Shale acreage position to Lucid's proposed midstream system and participates in the JV with a 35% working interest. The JV's AMI encompasses natural gas and crude related midstream activity across the Midland Basin.

In Q3 2013, FireWheel purchased 9,400 acres in Coke County, Texas primarily prospective for the Jameson Sand. Management coveted this asset for several reasons: (i) the acreage was entirely HBP and underpinned by PDP value, (ii) existing wellbores offered inexpensive but economic workover opportunities, (iii) over 20 downspacing Jameson Sand vertical well locations were identified, (iv) the Jameson Sand could potentially be exploited horizontally, and (v) there was possible multi-pay upside through the horizontal development of the Cline Shale.

During Q1 2014, FireWheel acquired a non-operated, 3,400 net acre position in Reeves County, Texas prospective for the Wolfcamp formation to gain a foothold in the Delaware Basin where industry activity was quickly accelerating and yielding impressive results. Resolute serves as operator across the majority of FireWheel's position. Offset operators in the area include EOG, Cimarex, Anadarko, and Energen.

In Q1 2015, FireWheel divested its Cline Shale and Coke County assets to a private buyer for PDP value. While this result was disappointing, these assets were deemed to have very limited upside, especially in the prevailing commodity price environment. Additionally, management departed following the sale given the company no longer had any operated properties.

In July 2016, FireWheel reached an agreement with a private midstream operator (as part of a broader midstream sale by Resolute) to sell its 49% interest in legacy gas gathering and SWD assets in Reeves County for $17 million in net proceeds. Additionally, FireWheel gained the ability to earn spud fees as Resolute drills additional wells on FireWheel's interests (initially $224k net to FireWheel per well). FireWheel retained the proceeds from the midstream sale to fund future upstream, non-operated development across its acreage.

On October 7, 2016, FireWheel closed the sale of its remaining upstream assets to Resolute (3,058 core net acres with ~$30 million PDP PV10) for $135.0 million, including $90.0 million of cash and $45.0 million of stock (priced at a 10% discount to the 15-day VWAP). FireWheel was paid ~$35,000/core net acre after backing out production and $5.0 million of value for the future spud fee payments, which were conveyed to Resolute as part of the transaction. In regards to the equity consideration, FireWheel received 2.1 million shares, or 12% of Resolute's total shares outstanding, which EnCap sold during Q4 2016. FireWheel made a $100.0 million distribution in October 2016 and a $64.0 million distribution in December 2016, both related to the Resolute sale.

After the sale of FireWheel's upstream assets, substantially all of the remaining value resided in the company's 35% equity ownership in Cogent (formerly known as Lucid I). Cogent built an extensive gas gathering and processing system and crude gathering system in the Southern Midland Basin with ~800 miles of pipeline, five gas processing plants, ~520 MMcf/d of gas processing capacity, and 80 MBo/d of crude gathering capacity. A new management team took over leadership of Cogent in 2018 and re-focused its efforts to grow the business prior to a sale.

After extensive efforts to sell the business, Cogent sold its assets in Q1 2022 to Canes Midstream for $605 million via a sign & close agreement. As a result, FireWheel made a $130 million distribution in Q1 2022, which included $94 million net to Fund VIII. Given the long-dated nature of this investment and a series of broad market tests, the Cogent Board believed this was the best result for all shareholders.

Valuation ($000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Aug-11	$224,082	$213,199	$4,458	$217,657	0.97x	(0.5)%

Plantation Petroleum Holdings V, LLC

Fully Realized

Company Description

Plantation V is a privately held oil and gas company founded by a team of oil and gas professionals led by Tom Meneley and Don Dotson. The team initially partnered with EnCap Fund IV in 2002 to purchase Maynard Oil Company and subsequently sold Maynard to Forest Oil Company in December 2003, yielding a 2.1x ROI and 68% IRR on Fund IV's $30 million investment. Immediately thereafter, EnCap Fund IV and management partnered to form Plantation II to purchase Zia Energy and subsequently sold the company to Range Resources in June 2005, providing a 5.9x ROI and 205% IRR on Fund IV's $10 million investment. Subsequently, EnCap Fund IV and V partnered with management in July 2005 to form Plantation III and sold the company's assets to E.V. Energy in October 2007, providing Fund IV and Fund V with a 2.0x ROI and 44% IRR on $33.1 million and $6.6 million invested, respectively. Again in September 2007, EnCap Fund VI and VII partnered with management to form Plantation IV and sold the company's assets in November 2011, providing Fund VI and VII with a 2.5x ROI and 32% IRR. Plantation V's strategy, consistent with Plantation I, II, III and IV, is to acquire and exploit oil and gas properties that have been under-developed or under-exploited by previous owners.

Transaction Summary

In December 2011, Plantation V was formed with a $300 million equity commitment comprised of $225 million from EnCap Fund VIII, $67 million form Liberty and $8 million from management. The structure and economic sharing ratios are similar to the prior Plantation structures, providing the Investor Group with 97.3% of the available cash until an 8% IRR is earned; thereafter distributions will be allocated on a graduated basis until higher IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

Since inception, Plantation V has put together a portfolio consisting of multiple consolidated acreage blocks located throughout the Permian Basin. These assets were primarily acquired in two separate deals; the first in Q1 of 2012 and the second in Q4 of 2012. In general, the assets contain substantial PDP and additional upside consisting of high-quality, low-risk infill drilling, waterflood development, and opportunities to increase existing production through operational improvements. These properties are well suited for Management's acquire-and-exploit skillset. Management has also identified several resource play opportunities on the assets which, while not the primary focus of the company, provide additional upside in the event industry activity increases in those specific plays.

Plantation sold its remaining assets in 2018 and 2019 and all proceeds were applied against debt.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Dec-11	$207,000	$21,553	$0	$21,553	0.10x	(49.8)%

HALRES, LLC (formerly Halcón Resources, LLC)

Fully Realized

Company Description

HALRES is a Houston based start-up oil and gas company formed to take control of a public company that is now known as Halcón Resources Corp ("Halcón"). The management team is led by Floyd Wilson and this represents his fourth major startup oil & gas company and the third consecutive partnership with EnCap. The partnership with EnCap began in 1998 with the creation of W/E Energy Company, which later become known as 3TEC Energy Corp. and sold for $432 million in 2001, generating a 2.2x ROI and 17% IRR for Fund III. Most recently, Mr. Wilson and EnCap formed Petrohawk Energy, ultimately generating a 3.3x ROI and 144% IRR for Fund IV.

HALRES's initial strategy was closely modeled after the original Petrohawk investment which involved the use of a reverse merger transaction to quickly become public. Concurrent with the closing, HALRES announced that it reached an agreement with RAM Energy (NASDAQ: RAM) to recapitalize and take control of the company by purchasing $550 million of newly issued common stock, convertible debt and warrants.

Transaction Summary

In December 2011, HALRES was formed with a $550 million equity commitment comprised of $330 million from EnCap Fund VIII, $110 million from Liberty Energy, $55 million from Mansefeldt Investment Corp., and $55 million from management. The company's strategy has required capital in excess of this amount, and public equity and/or debt offerings have been utilized to fund additional capital. The investment is structured in the form of common equity with Fund VIII receiving 60% of distributed cash until an 8% IRR and 1.25x ROI is earned. Thereafter, distributions are allocated on a graduated basis until higher IRR and ROI targets are met. Fund VIII holds a majority position on the HALRES Board of Managers.

Post Investment Activity

Consistent with the transaction described above, $550 million of common equity was funded into HALRES on February 6, 2012. The entirety of this funding was subsequently utilized to recapitalize and take control of RAM on February 8, 2012. The company is now known as Halcón Resources Corp. and trades under the NYSE ticker symbol "HK." A 1-for-3 reverse stock split was implemented on February 9, 2012 in an effort to broaden the appeal of the stock in the institutional investment community.

The company grew through acquisitions including the acquisition of Bakken assets from GeoResources, Inc., PetroHunt, LLC, producing and nonproducing acreage in East Texas prospective for the Woodbine and Eagle Ford formations, acreage in Eastern Ohio prospective for the Utica Shale/Point Pleasant formations and acreage in Louisiana and Mississippi prospective for the Tuscaloosa Marine Shale.

Given stock price appreciation since its initial investment, EnCap Fund VIII completed a secondary offering in September 2012 of 40.25 million shares at $7.00 resulting in EnCap receiving $269 million proceeds after transaction costs. This transaction resulted in Fund VIII recovering 82% of its $330 million cost basis. In order to accomplish this, Fund VIII sold 44% of its net diluted shares (based on the share price at the time) in Halcón, and will retain the other 56% on a go-forward basis prior to accounting for management's back-in interest.

On March 9, 2015, Halcón amended its 8% senior convertible promissory note due 2017 (in the principal amount of approximately $290 million) and associated 30.7 million warrants issued to HALRES. The amendment extended the maturity date of the note and warrants by three years (from February 8, 2017 to February 8, 2020) in exchange for a reduction in the per-share conversion price from $4.50 to $2.44. During Q4 2015, Halcón completed a one-for-five reverse split of its issued and outstanding common stock, therefore increasing the per-share conversion price from $2.44 to $12.20.

During the first half of 2015, Halcón negotiated with certain bondholders to exchange approximately $252 million in face value of various tranches of its senior unsecured notes into approximately 141 million common shares, which reduced annual cash interest expense by approximately $24 million. The company also issued $700 million in senior secured second lien notes due 2020 and used the net proceeds to repay outstanding borrowings under its senior secured revolving credit facility.

During Q3 2015, Halcón agreed to issue approximately $1.02 billion aggregate principal amount of new 13.00% Third Lien Senior Secured Notes due 2022 in exchange for approximately $1.57 billion aggregate principal amount of its outstanding unsecured debt securities. The net result is a reduction in total debt of approximately $550 million, a reduction in LTM leverage by nearly a full turn and a reduction in annual cash interest expense by approximately $12 million.

During Q4 2015, Halcón agreed to issue approximately $112.8 million aggregate principal amount of new 12.00% Second Lien Senior Secured Notes due 2022 in exchange for approximately $289.6 million aggregate principal amount of its outstanding unsecured debt securities. Halcón also announced a one-for-five reverse split of its issued and outstanding common stock.

During Q2 2016, Halcón announced it had reached an agreement in principal with stakeholders regarding a comprehensive balance sheet restructuring, and in Q3 2016, the company completed its financial restructuring and emerged from its pre-packaged chapter 11 bankruptcy case. The restructuring resulted in the elimination of ~$1.8 billion of debt and ~$222 million of Preferred Equity, and reduced the company's ongoing annual interest burden by more than $200 million. As part of the restructuring, the convertible note owned by HALRES was extinguished in exchange for (i) 4% of the common stock of Halcón, (ii) a cash payment of $15.0 million and (iii) Warrants to purchase 1% of the common stock of Halcón.

In 4Q 2016, HALRES (60% owned by EnCap Fund VIII) distributed all of its assets to its respective owners. Fund VIII received 2.2 million common shares, which were sold in the open market for a total of $19.9 million of proceeds.

Fund VIII continues to own warrants to buy 568,421 shares of the company at a strike price of $14.04 with an expiration of September 2020.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Feb-12	$330,000	$347,514	$0	$347,514	1.05x	4.5%

Brigadier Oil & Gas, LLC

Fully Realized

Company Description

Brigadier is a privately held, upstream oil and gas company with offices in Dallas, Texas and Tulsa, Oklahoma. The company is focused on the pursuit of low-risk leasing and drilling opportunities in established producing regions. Brigadier is managed by five principals with complementary skill sets and backgrounds spanning all of the major upstream oil and gas disciplines. Each principal has significant experience and contacts in the industry from past roles at Samson, Matador Petroleum, Petrohawk, Pioneer, Newfield and ChevronTexaco. The company's CEO (Frank Burke) previously played a substantial role in growing Matador Petroleum to its $388 million sale to Tom Brown. The technical team members (Kurt Vanderyt, Brent Roland and Ryan Corbin) have worked extensively together throughout their careers, most notably growing Samson's South Texas assets from the ground up to an ultimate $300+ million sale representing an approximate 3.0x return on invested capital.

Transaction Summary

Brigadier was formed in March 2012 with a $150 million total equity commitment comprised of $148.25 million from EnCap Fund VIII, $1.5 million from management and $0.25 million from a passive co-investor. In March 2015, Brigadier's equity commitment was expanded by $75.3 million to $275.9 million ($273.3 million net to Fund VIII). The investment is structured in the form of common equity with the investor group receiving 99.2% of the available cash flow until an 8% IRR and 1.25x ROI is earned; thereafter, incremental distributions are allocated on a graduated basis as higher IRR and ROI targets are met. Fund VIII holds a majority position on the company's Board of Managers.

Post Investment Activity

In March 2015, Brigadier's equity commitment was expanded by $75.3MM to $275.9MM ($273.3MM net to Fund VIII) in order to more adequately capitalize the company for the current market environment and to position the company to quickly ramp production again once market conditions warrant.

In Q3 2017, Brigadier sold its Marble Falls assets to PetroBAL for $52 million. EnCap received $4.1 million of total proceeds net to Fund VIII.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Mar-12	$246,075	$4,129	$0	$4,129	0.02x	(84.8)%

Broad Oak Energy II, LLC

Fully Realized

Company Description

Broad Oak II is a privately-held, start-up oil and gas company based in Dallas, Texas. Broad Oak II is managed by David Braddock (Non-Executive Chairman), Robert Skinner (COO) and Jim Sherrill (CFO) and a fully equipped team of individuals who worked together with management to build and sell Broad Oak I from 2006 to 2011. Broad Oak I was backed by Warburg Pincus and pursued a lease-and-drill strategy resulting in a ~$1.0 billion sale in 2011 (4.9x ROI on $160 million invested). Prior to forming Broad Oak I, Mr. Braddock was Senior Director of Business Development at Pioneer Natural Resources and President of Gulf South Operators and Mr. Skinner helped form Camden Resources and was previously with BJ Services, The Western Companies and GreenBrier Operating. Management has extensive resource play experience and are proven money makers. Broad Oak II is well positioned to build upon the success of Broad Oak I. Broad Oak II will pursue a similar lease-and-drill strategy with a focus on the Permian Basin in West Texas.

Transaction Summary

Broad Oak II was formed in July 2012 with a $300 million total equity commitment comprised of $294 million from EnCap Fund VIII and $6 million from management. The investment is structured in the form of common equity with the investor group receiving 98% of the available cash flow until an 8% IRR and 1.25x ROI is earned; thereafter, incremental distributions are allocated on a graduated basis as higher IRR and ROI targets are met. EnCap holds a majority position on the company's Board of Managers.

Post-Investment Activity

Broad Oak II pursued a diversified lease-and-drill strategy focused on multiple resource plays in the Permian Basin. After performing a thorough evaluation of the Midland Basin where management felt its experience, knowledge and network would aid in the identification of privately-negotiated acreage acquisition opportunities, Broad Oak II finalized a joint venture on ~7,750 net acres in Irion County. After drilling several successful Upper Wolfcamp wells, the company bought out its joint venture partner and acquired additional acreage tracts such to build a ~25,000 net acre position.

On February 6, 2018, Broad Oak II entered into a PSA with Yorktown-backed Triple Crown Resources to sell all of its assets for $400 million of cash consideration with an effective date of July 1, 2017. The assets sold consist of ~25,000 net acres and ~9,000 boe/d of production from 77 wellbores.

On March 23, 2018, Broad Oak II closed on the sale of its assets to Triple Crown Resources. At closing, the company made a ~$147MM distribution to Fund VIII. On June 27, 2019, Broad Oak II received the full release of the post-close holdback and made a $34.8MM distribution to Fund VIII.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jul-12	$183,260	$181,588	$0	$181,588	0.99x	(0.2)%

Phillips Energy Partners III, LLC

Substantially Realized

Company Description

Phillips III is a Shreveport, Louisiana based oil and gas company focused on acquiring producing and targeted non-producing fee mineral interests throughout the United States. The management team is led by Chris Phillips, the former co-founder and Executive Vice President of Texla Energy, a gas marketing company representing over 150 oil and gas producers. In August 2006, EnCap Fund V committed $1.5 million to Phillips Royalty Partners 2, L.P., which sold in May 2008 for $2.5 million net to Fund V representing a 45% IRR and 1.7x ROI. In April 2007, EnCap Fund VI committed $30.6 million to Phillips I to aggregate smaller royalty interests into larger packages for sale to acquirers of royalty interests, thereby taking advantage of the arbitrage in purchase price metrics between small and large royalty packages. In February 2010, Fund VII committed $51.0 million to Phillips II and invested the capital in a balanced mix of income producing PDP assets purchased at attractive valuations and highly prospective non-producing shale/resource acreage. Consistent with the prior strategy, Phillips III will acquire a mix of lower risk PDP mineral royalty interests and higher return potential non-producing mineral royalty interest in high-quality shale areas. These interests will then be packaged for sale to a larger royalty acquirer or a publicly traded Master Limited Partnership.

Transaction Summary

In August 2012, Phillips III was formed with a $100.0 million equity commitment comprised of $98.5 million from EnCap Fund VIII and $1.5 million from management. The investment is structured in the form of common equity with Fund VIII receiving 98.5% of distributed cash until an 8% IRR and 1.1x ROI, and thereafter distributions will be allocated on a graduated basis as certain ROI targets are met. Fund VIII holds a majority position on the Board of Managers.

Post Investment Activity

Phillips III has executed on its strategy of acquiring a diversified portfolio of producing and non-producing mineral fee interests. The non-producing portfolio is predominantly comprised of: (i) fee mineral interests in the core area of the Eagle Ford Shale; (ii) fee mineral interests in the Powder River Basin and (iii) fee mineral interests in the Permian Basin. In total, PEP III has interests in ~4,000 total wells. In the Eagle Ford, PEP III has accumulated mineral interests covering ~65,000 gross acres with ~400 PDP wells and an additional ~1,000 future locations to be drilled. The company also has interests in ~150,000 gross acres in the Permian Basin. Operators in both areas continue to dedicate capital to keep rigs active due to the strong economics, which continue to be enhanced by efficiencies like pad drilling, down-spacing and multi-zone targets.

During Q3 2016, EnCap parted ways with PEP III management, and the company’s assets are currently being managed on a contract basis.

In March 2019, Phillips Energy III closed on the sale of all of its assets to Kimbell Royalty Partners (NYSE: KRP) in exchange for ~5.3 million shares of KRP.

Recent Events

We intend to closely monitor the performance of KRP and opportunistically exit when market conditions justify doing so.

Valuation ($000’s)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Aug-12	$92,590	$36,181	$89,043	$125,224	1.35x	3.6%

Grenadier Energy Partners II, LLC

Fully Realized

Company Description

Grenadier II is a Houston based, privately held oil and gas company founded by the Grenadier I management team led by Pat Noyes, former President and CEO of Stroud Energy. Grenadier I was formed in April 2007 following the sale of Stroud Energy, which generated a 98% IRR and 3.1x IRR on Fund IV's $27 million investment. In Grenadier I, management built a highly attractive, blocked-up acreage position in the Marcellus Shale consisting of approximately 16,400 net acres in Wetzel County, West Virginia which it ultimately sold to Statoil in December 2012 for total returns net to Fund VI of 1.7x ROI and 26% IRR. In Grenadier II, management is focusing on a lease-and-drill strategy in known producing onshore U.S. basins.

Transaction Summary

In August 2012, Grenadier II was formed with a $340 million equity commitment comprised of $200 million from EnCap Fund VIII, $133 million from Kayne Anderson, $6 million from management and $1 million from a passive co-investor. The structure and economic sharing ratios are similar to the prior Grenadier structure, providing the investor group with 98.0% of the available cash until an 8% IRR and 1.25x ROI is earned; thereafter distributions will be allocated on a graduated basis until higher IRR and ROI targets are met. EnCap and Kayne Anderson have full board control with EnCap's approval required for all material board decisions.

In May 2015, EnCap Fund VIII moved $150 million of its $200 million commitment to EnCap Fund X to free up capital for Fund VIII and to allow Grenadier II's growth timeline to be better aligned with that of Fund X given the early stage nature of the investment.

Post-Investment Activity

After targeting a number of domestic basins, Grenadier II chose to focus on building a position in North Louisiana targeting the Cotton Valley interval and the company built a ~40,000 acre position. Grenadier II drilled and completed two science wells to test the acreage and gather core and log data; however, these initial test wells did not demonstrate economic results in the current price environment. In Q2 2017, Grenadier sold its assets in North Louisiana in order to shift capital and focus to the Permian.

In Q4 2016, Grenadier shifted its focus from North Louisiana to the Midland Basin through the successful negotiation of a farm-in arrangement with Occidental Petroleum covering ~7,000 net acres in Howard County offsetting attractive drilling results from operators including SM Energy, Surge and Sabalo.

In Q3 2017, Grenadier negotiated a deal to buy out Occidental Petroleum's interest in the Howard County JV for $42.5 million. This transaction, combined with greenfield leasing, bolt-on acquisitions and acreage trades, has scaled Grenadier's current Howard County acreage position to ~21,000 net acres. The company initiated a delineation program in late 2017 and has drilled and completed multiple operated horizontal wells to-date in the Wolfcamp A and Lower Spraberry zones with positive early-time results. Additionally, substantial industry activity offsetting Grenadier's acreage position has demonstrated encouraging results as the play continues to be de-risked to the east. Grenadier has also participated in a number of non-operated wells on its acreage position with positive results from those wells.

In Q1 2021, Grenadier closed on the sale of ~18,000 net acres and ~9,000 boepd (75% oil), which represents substantially all its assets to Surge Energy for $420 million of cash consideration. Surge funded a 10% cash deposit ($42.0 million) into an escrow account which was converted into the holdback amount at closing on March 31, 2021. 50% of the holdback will be released after six months, with the remaining distributed prior to YE 2021. Estimated proceeds from the sale, inclusive of the holdback and after accounting for debt and other miscellaneous purchase price adjustments, will generate a 1.4x cash-on-cash ROI net to Fund VIII.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Aug-12	$33,302	$48,535	$0	$48,535	1.46x	7.9%

Common Resources III, LLC

Fully Realized

Company Description

Common Resources III, LLC, is a Woodlands, Texas-based, start-up oil and gas company focused on creating value opportunistically through the drill-bit. EnCap first partnered with the Common management team in Common I, a Fund VI and Fund VII portfolio company that sold in May 2010 for $805 million, providing the EnCap funds with a 3.0x ROI and 119% IRR. Common I successfully built core acreage positions in the Haynesville and Eagle Ford Shales, drilling wells in each of these areas to establish their resource potential. Common II, a Fund VII and Fund VIII portfolio company, was formed shortly thereafter and sold in July and August 2012 for proceeds of $178.7 million and $24.7 million of related holdbacks, providing the EnCap funds with a 1.6x ROI and 50% IRR. The Common III management team consists of the same core group of individuals that were instrumental in the value creation process in Common I and II and will be led by Tom Jones (CEO) and Roger Jarvis (Chairman). Mr. Jones has over 25-years of industry experience in various senior engineering and operations roles with Chevron, Torch Energy and others. Mr. Jarvis previously served as President and CEO of Spinnaker Exploration from its inception in 1996 through its eventual sale to Norsk Hydro for $2.6 billion in December 2005. Additional management members consist of the core technical and operating team from Common I and II. Consistent with its prior strategy, Common III will utilize a disciplined technical approach to identify, capture and assess attractive opportunities in domestic resource plays.

Transaction Summary

EnCap Fund VIII and Pine Brook Road Partners (who partnered with EnCap in Common I and II) each committed $200 million to Common III for a total Investor Group commitment of $400 million. Management committed $13 million providing the company with a $413 million equity commitment. In January 2013, 50% of Fund VIII's commitment ($100.0 million) was transferred to Fund IX. The investment is structured in the form of common equity with the investor group receiving 96.9% of distributed cash until an 8% IRR and thereafter distributions will be allocated on a graduated basis until certain IRR and ROI targets are met. The board of directors is jointly controlled by EnCap and Pine Brook with each having two representatives of a seven-member board. EnCap's approval is required for all material board decisions.

Post-Investment Activity

Common III built positions in three areas of the Permian Basin. In the Texas Panhandle, the company accumulated ~31,500 net acres in Potter and Carson Counties targeting the Canyon Lime. Common's first operated well was non-commercial and no additional activity is currently planned. In the Circuit Rider prospect, the company accumulated ~20,100 net acres in Gaines and Terry Counties, TX, targeting the Woodford Silt. Common has drilled two non-commercial wells and has no further development planned. The company's third project is the Glock Prospect, where Common has acquired ~24,300 net acres on the western edge of the Delaware Basin in Reeves County, TX. In Q4 2015, Common III entered into an agreement to acquire ~1,100 net acres in Martin County targeting primarily the Wolfcamp A and Lower Spraberry.

As part of managing our portfolio with an emphasis on overhead and capital efficiency, we removed the Common III management team in 2016 and subsequently contracted a third party to manage the assets. In Q2 2017, the company sold the vast majority of its remaining assets through multiple transactions. We anticipate winding down the company before year-end 2018.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Sep-12	$60,388	$11,705	$0	$11,705	0.19x	(41.9)%

Marlin Resources, LP

Fully Realized

Company Description

Marlin Resources, LP, is a Lafayette, LA-based oil and gas company with an acquire and exploit strategy focused on liquids-rich plays in the southern United States. Marlin is led by Gus Zepernick who previously served as COO of Ocean Energy (NYSE: OEI). Mr. Zepernick and his team were instrumental in the success of growing the company from a small private operator to one of the most active Gulf of Mexico operators until its merger with Seagull Energy in 1999. After leaving Ocean, Mr. Zepernick was recruited by Anschutz and Silver Oak to run Forcenergy (NYSE: FORC), which was emerging from bankruptcy. He successfully reorganized the company and sold to Forest Oil, essentially doubling the value of Force within a year. In 2003, Mr. Zepernick formed Marlin Energy, generating over $500 million of sale proceeds and >6.0x ROI to investors. Mr. Zepernick and his team assembled an onshore asset base consisting of both developed and undeveloped acreage in East Texas prospective for the Woodbine and Eagle Ford formations and acreage in Southwest Louisiana prospective for the Wilcox formation. Marlin Resources purchased the onshore properties for approximately $20 million and all existing offshore properties remained in Marlin Energy, which have since been sold. Management is aligned with Fund VIII and devotes all of their time to the new venture.

Transaction Summary

Marlin was formed in September 2012 with a $200 million total equity commitment comprised of $195 million from EnCap Fund VIII and $5 million from management. The investment is structured in the form of common equity with the investor group receiving 97.5% of the available cash flow until an 8% IRR and 1.15x ROI is earned; thereafter, incremental distributions are allocated on a graduated basis as higher IRR and ROI targets are met. Fund VIII holds a majority position on the company's Board of Managers.

Marlin Resources purchased Marlin Energy's existing unconventional onshore assets at cost (approximately $20 million). These assets consisted of two producing horizontal Woodbine wells, ~3,600 net acres prospective for the Woodbine and Eagle Ford Shale primarily in Grimes County, TX, and ~2,000 net acres located in central Louisiana prospective for the Wilcox formation.

Post-Investment Activity

Marlin accumulated ~20,000 net acres primarily in Brazos, Burleson and Grimes counties, TX, prospective for the Woodbine and Eagle Ford formations. The company participated in 20 wells – thirteen operated wells (seven Woodbine, two Kurten Sand and four Eagle Ford) and six non-operated wells (all Woodbine).

Following the downturn in commodity prices during Q4 2014, drilling economics throughout Marlin's focus area became substantially challenged which led EnCap to make the strategic decision to halt all future development within the company's leasehold position.

In Q3 2017, Marlin divested ~4,000 net acres in Brazos County, Texas for ~$21.5 million. In Q3 2018, Marlin closed on the sale of all remaining assets in Grimes and Burleson counties with the Fund receiving $15 million at close and $3.4 million in holdbacks in January 2019.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Sep-12	$145,875	$24,400	$0	$24,400	0.17x	(35.4)%

Paloma Partners III, LLC

Fully Realized

Company Description

Paloma Partners III, LLC, is a privately-held Houston-based independent oil and gas company led by Chris O'Sullivan, John Hastings, Mark Gabrisch and Bobby Poirrier. EnCap has a significant track record of value creation with Mr. O'Sullivan from its Fund III investment in San Juan Partners in 1998 (67.2% IRR, 1.8x ROI), its Fund VI investment in Paloma Barnett in 2007 (198% IRR, 2.1x ROI), and its Fund VII investment in Paloma II (78% IRR, 3.3x ROI). Paloma III focused on a leasing and development strategy targeting the Utica Shale. Similar to their strategy in Paloma II, Management used greenfield leasing and acquisitions to build a meaningful footprint in Utica, then "traded" acreage to consolidate its land position into large drillable blocks with a high working interest.

Transaction Summary

In September 2012, Fund VIII committed $250 million and minority investors committed $60 million to Paloma III. Management committed $10 million, providing a total equity commitment of $320 million to the company. In January 2013, 50% of Fund VIII's commitment ($125.0 million) was transferred to Fund IX. The investment is structured in the form of common equity with Fund VIII, Fund IX and co-investors receiving 96.8% of distributed cash until a 9% IRR is achieved, and thereafter distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap held a majority position on the Board of Managers.

Post-Investment Activity

Based on an extensive land and economic analysis, Paloma III began building an acreage position in 2013 targeting the Utica Shale in Ohio. The company accumulated approximately 23,700 net acres primarily in Belmont and Jefferson Counties, OH, offsetting several active operators. Paloma III initiated discussions with nearby acreage holders to execute trades/swaps to block-up its acreage position and create a more consolidated package.

During the course of discussions with offset operators regarding acreage trades, Gulfport Energy made an offer to acquire Paloma III. The parties executed an agreement for cash consideration of approximately $300 million with a $75 million deposit funded at signing. Simultaneous with the announcement of the transaction, Gulfport initiated a secondary equity offering as well as a senior notes placement, the proceeds of which were used, in part, to fund the acquisition. The acquisition closed on August 31st and $272.5 million was distributed to all investors ($99.4 million net to Fund VIII and $99.4 million net to Fund IX). An indemnity escrow holdback of 10% ($8.0 million net to Fund VIII and $8.0 million net to Fund IX) of the unadjusted purchase priced was withheld but ultimately distributed in September 2016 yielding a total ROI of 2.1x net to Funds VIII and IX ($51 million invested from each) and a 46% IRR.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Oct-12	$51,201	$107,596	$0	$107,596	2.10x	46.1%

Payrock Energy, LLC

Substantially Realized

Company Description

Payrock Energy, LLC, is a privately held Oklahoma City based independent oil and gas company focused on the Mississippi Lime play in Kansas and Oklahoma. Payrock is led by Rick Kirby (CEO), Steve Henley (VP Operations), Chad Ford (VP Land), John Zimmerman (VP Finance), and Tim Fahler (VP Reservoir Engineering). The team is well-seasoned with over 108 years of combined experience in multiple disciplines throughout the oil and gas industry. Most recently, the team worked together at SandRidge and was involved in the company's initial entry into the Mississippi play where they were responsible for drilling over 250 wells in the area. Payrock plans to leverage management's regional expertise and relationships to execute a strategic entry into the most economically compelling areas of the Mississippian play for horizontal development. The company intends to build a consolidated land position through greenfield leasing, acquisitions and/or farm-ins, and utilize the drill-bit strategy and nearby industry activity to demonstrate the economics of the play.

Transaction Summary

In November 2012, Fund VIII committed $247.5 million and management committed $2.5 million, providing a total equity commitment of $250 million to the company. In January 2013, 50% of Fund VIII's commitment ($123.75 million) was transferred to Fund IX. The investment is structured in the form of common equity with Fund VIII and Fund IX receiving 99% of distributed cash until an 8% IRR is achieved, and thereafter distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post-Investment Activity

Payrock amassed ~61,000 net acres as an early mover in the core of the STACK play for an average cost basis of approximately $1,330 per acre. The acreage, primarily in Kingfisher and Canadian Counties, Oklahoma, offsets major operators such as Newfield, Devon, and Cimarex, among others, and is prospective for the Meramec and Woodford shale formations, with potential upside in the Osage.

On August 1, 2016, Payrock closed on the sale of its ~61,000 net acres and ~9,000 Boe/d (50% oil; 75% liquids) of production to Marathon Oil Corporation (NYSE: MRO) for $887.5 million in an all-cash transaction. After accounting for debt and other miscellaneous purchase price adjustments, Payrock ultimately received $790.1 million in cash proceeds, equating to a 4.5x ROI and 85% IRR net to Funds VIII and IX.

Recent Events

During Q3 2022, EnCap entered into an agreement with 89 Energy to sell its consolidated STACK assets (including Rumble Minerals, LLC) for ~$230 million of total consideration. Payrock's remaining assets in Rumble Minerals represented ~5% of the total consolidated assets sold to 89 Energy. At closing in October 2022, Payrock distributed ~$3.1 million to Fund VIII. In addition to the proceeds received at closing, Payrock has the opportunity to receive ~$500k of proceeds from holdbacks (~$250k net to Fund VIII).

Valuation ($000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Nov-12	$66,825	$305,542	$3,530	$309,072	4.57x	85.5%

EnCap Investments L.P.

EnCap Energy Capital Fund VIII

Section IV:
Financial Statements

ENCAP ENERGY CAPITAL FUND VIII, L.P.

FINANCIAL STATEMENTS

SEPTEMBER 30, 2022

ENCAP ENERGY CAPITAL FUND VIII, L.P.

STATEMENT OF ASSETS, LIABILITIES AND PARTNERS' CAPITAL

	September 30, 2022
ASSETS	
Investments, at fair value (cost $1,177,368,447)	$ 1,602,611,558
Cash and cash equivalents	19,455,186
Due from Limited Partners	154,192
Total assets	$ 1,622,220,936
LIABILITIES AND PARTNERS' CAPITAL	
Due to affiliate	$ 679,006
Total liabilities	679,006
Partners' capital:	
General Partner	48,646,258
Limited Partners	1,572,895,672
Total partners' capital	1,621,541,930
Total liabilities and partners' capital	$ 1,622,220,936

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND VIII, L.P.

SCHEDULE OF INVESTMENTS

SEPTEMBER 30, 2022

	Shares or % owned	Cost	Fair Value	% of net assets
Private equity investment holdings:				
Red Rocks Company, LLC	19.2%	$ —	$ 203,000	0.0%
Forge Energy Holdings, LLC	40.5%	4,879,872	10,200,000	0.6%
FireWheel Energy, LLC	72.0%	612,000	4,458,000	0.3%
PER Manager, LLC	73.0%	583,952,518	1,421,373,000	87.7%
PEP III Holdings, LLC	100.0%	64,310,598	89,042,509	5.5%
Payrock Energy Excluded Assets Holdings, LLC	49.5%	250,064	3,530,000	0.2%
Public equity investment holdings:				
Southwestern Energy Company	7,423,544	336,933,169	45,432,089	2.8%
Earthstone Energy Inc.	2,303,000	186,430,226	28,372,960	1.7%
Total investments		$ 1,177,368,447	$ 1,602,611,558	98.8%

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND VIII, L.P.

STATEMENT OF OPERATIONS

	Nine months ended September 30, 2022
Investment income:	
Interest	$ 68,563
Dividend	75,040,409
Total investment income	75,108,972
Expenses:	
General and administrative	612,641
Total expenses	612,641
Net investment income	74,496,331
Realized and unrealized gain (loss) on investments:	
Net realized loss on investments	(9,314,074)
Net change in unrealized appreciation on investments	296,142,370
Net realized and unrealized gain on investments	286,828,296
Net increase in partners' capital resulting from operations	$ 361,324,627

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND VIII, L.P.

STATEMENT OF CHANGES IN PARTNERS' CAPITAL

	General Partner	Limited Partners	Total
Partners' capital at December 31, 2021	$ 43,037,129	$ 1,391,533,825	$ 1,434,570,954
Capital distributions	(5,230,609)	(169,123,042)	(174,353,651)
Net increase in partners' capital resulting from operations	10,839,738	350,484,889	361,324,627
Partners' capital at September 30, 2022	$ 48,646,258	$ 1,572,895,672	$ 1,621,541,930

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND VIII, L.P.

STATEMENT OF CASH FLOWS

	Nine months ended September 30, 2022
Cash flows from operating activities:	
Net increase in partners' capital resulting from operations	$ 361,324,627
Adjustments to reconcile increase in partners' capital resulting from operations to net cash provided by operating activities:	
Proceeds from investments	107,570,965
Realized loss on investments	9,314,074
Change in unrealized appreciation on investments	(296,142,370)
Change in operating assets and liabilities	
(Increase) decrease in due from Limited Partners	(140,000)
Increase (decrease) in due to affiliate	631,337
Net cash provided by operating activities	182,558,633
Cash flows from financing activities:	
Distributions to partners	(174,353,651)
Net cash used for financing activities	(174,353,651)
Net change in cash and cash equivalents	8,204,982
Cash and cash equivalents, beginning of period	11,250,204
Cash and cash equivalents, end of period	$ 19,455,186

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND VIII, L.P.

NOTES TO FINANCIAL STATEMENTS

NOTE 1 – ORGANIZATION:

EnCap Energy Capital Fund VIII, L.P. (the "Partnership"), a Texas limited partnership, was formed on October 7, 2010 to provide its partners with an opportunity to participate in privately negotiated equity and equity-related investments in the upstream and midstream independent oil and gas sector of North America. The Partnership operates pursuant to a partnership agreement (the "Partnership Agreement") dated October 7, 2010, which should be referred to for a complete description of the provisions of the Partnership. EnCap Equity Fund VIII GP, L.P. ("General Partner"), a Texas limited partnership, is the sole general partner for the Partnership. The Partnership's final close was on January 31, 2011. There are 205 investors owning the limited partnership interests ("Limited Partners", and collectively with the General Partner, the "Partners"). The General Partner's and Limited Partners' total capital commitments to the Partnership are $108.2 million and $3,500 million, respectively. There were no remaining commitments outstanding by the Partners to the Partnership or by the Partnership to portfolio companies.

EnCap Energy Capital Fund VIII-B, L.P. (the "TE Feeder"), EnCap Energy Capital Fund VIII-C, L.P. (the "Foreign Feeder") and EnCap Energy Capital Fund VIII-D, L.P. (the "Treaty Direct Feeder"), affiliated funds, are investors in the Partnership. The TE Feeder's, Foreign Feeder's and Treaty Direct Feeder's ownership in the Partnership's capital are 6.293889%, 18.277571% and 7.498648%, respectively.

The Partnership was to be dissolved upon the expiration of a 10-year period ending October 7, 2020. On October 6, 2020, the Partnership Agreement was amended to extend the life of the Partnership until December 31, 2022. The amendment was approved by greater than 80% of the Limited Partners.

NOTE 2 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

Basis of Presentation

The accompanying financial statements have been prepared on the accrual basis in accordance with accounting principles generally accepted in the United States of America ("GAAP"). The Partnership is considered an investment company under GAAP and follows the accounting and reporting guidance applicable to investment companies in the Financial Accounting Standards Board Accounting Codification ("ASC") 946, Financial Services – Investment Companies.

Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires the General Partner to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the dates of the financial statements and the reported amounts of revenue and expenses during the reporting period. Actual results, including the ultimate amount realized upon the sale of illiquid and/or fair valued investments, can, and often do, differ from those estimates.

Investment valuation and transactions

The Financial Standards Accounting Board ("FASB") guidance "Fair Value Measures," establishes a fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (level 1 measurement) and the lowest priority to unobservable inputs (level 3 measurements). The three levels of the fair value hierarchy under the guidance are as follows:

Level 1 Inputs that reflect unadjusted quoted prices in active markets for identical assets or liabilities that the Partnership has the ability to access at the measurement date;

Level 2 Inputs other than quoted prices that are observable for the asset or liability either directly or indirectly, including inputs in markets that are not considered to be active;

Level 3 Prices, inputs or modeling techniques which are both significant to the fair value measurement and unobservable (supported by little or no marked activity).

Inputs are used in applying the various valuation techniques and broadly refer to the assumptions that market participants use to make valuation decisions, including assumptions about risk. Inputs may include price information, volatility statistics, specific and broad credit data, liquidity statistics, and other factors. An investment's level within the fair value hierarchy is based on the lowest level of any input that is significant to the fair value measurement. However, the determination of what constitutes "observable" requires significant judgment by the General Partner. The General Partner considers observable data to be that market data which is readily available, regularly distributed or updated, reliable and verifiable, not proprietary, provided by multiple, independent sources that are actively involved in the relevant market. The categorization of an investment within the hierarchy is based upon the pricing transparency of the investment and does not necessarily correspond to the General Partner's perceived risk of that investment.

Partnership investments are valued quarterly by the General Partner. Investment cost and the net realized gains or losses thereon are determined, for financial accounting purposes, on the specific identification method. The Partnership's investments that have been classified within level 3 utilize significant unobservable inputs and trade infrequently or not at all. Level 3 investments may include common and preferred equity securities, corporate debt, warrants and other privately issued securities. When observable prices are not available for these securities, the General Partner uses one or more valuation techniques (e.g., the market approach or the income approach) for which sufficient and reliable data is available. Within level 3, the use of the market approach generally consists of using comparable market transactions, while the use of the income approach generally consists of the net present value of estimated future cash flows, adjusted as appropriate for liquidity, credit, market and/or other risk factors.

The inputs used by the General Partner in estimating the value of level 3 investments included third party engineering reserve reports, oil and gas NYMEX future prices as of the date the valuation is performed, estimated capital expenditures, estimated operating costs, and risk-adjusted discount factors based on whether the reserves are classified as proved developed producing, proved developed nonproducing or proved undeveloped. Other relevant information considered by the General Partner may include the following factors: original transaction price, recent public or private transactions in the same or similar assets, restrictions on transfer, including the Partnership's right, if any, to require registration by the issuer of the offering and sale of securities held by the Partnership under the securities laws; significant recent events affecting the issuer, including significant changes in financial condition and pending mergers and acquisitions; and all other reasonable and customary factors affecting value. The fair value measurement of level 3 investments does not include transaction costs that may have been capitalized as part of the security's cost basis. Assumptions used by the General Partner due to the lack of observable inputs may significantly impact the resulting fair value and therefore the Partnership's results of operations.

Investments may be classified as level 2 when market information becomes available, yet the investment is not traded in an active market and/or the investment is subject to transfer restrictions, or the valuation is adjusted to reflect illiquidity and/or non-transferability.

Investments in restricted securities of public companies cannot be offered for sale to the public until the Partnership complies with certain statutory requirements. The valuation of the securities by management takes into consideration the type and duration of the restriction, but in no event does the valuation exceed the listed price on a national securities exchange or the NASDAQ national market. Investments in restricted securities of public companies are generally included in level 2 of the fair value hierarchy.

Investments whose values are based on quoted market prices in active markets, and are therefore classified within level 1, generally include active listed equities. The General Partner does not adjust the quoted price for such instruments, even in situations where the Partnership holds a large position and a sale could reasonably impact the quoted price.

The following table presents the investments carried on the Statement of Assets, Liabilities and Partners' Capital by level within the valuation hierarchy as of September 30, 2022.

	Assets at Fair Value as of September 30, 2022			
	Level 1	Level 2	Level 3	Total
Investments:				
Private equity holdings	$ —	$ 89,042,509	$ 1,439,764,000	$ 1,528,806,509
Public equity holdings	73,805,049	—	—	73,805,049
	$ 73,805,049	$ 89,042,509	$ 1,439,764,000	$ 1,602,611,558

The following table summarizes the valuation methodology and significant unobservable inputs used for investments that are categorized within Level 3 of the fair value hierarchy as of December 31, 2021. The disclosure below excludes investments for which fair value is based on unobservable but non-quantitative inputs. Such items include investments for which the determination of fair value is based on prices from prior transactions or third party pricing information without adjustment.

Assets (at fair value)	**Fair Value at December 31, 2021**	**Valuation Techniques(1)**	**Unobservable Inputs(2)**	**Range of Inputs (Weighted Average)**
Investments in Equity of Privately Held Companies	$100,448,000	Recent transactions approximates Fair Value	Recent transactions	N/A
	$1,189,160,000	Income Approach / Discounted Cash Flow Analysis	Discount rate	10%
			NYMEX forward strip oil pricing ($/BO)	$58.57-$72.69
			NYMEX forward strip gas pricing ($/MMBTU)	$3.03 - $3.66
			Risk adjusted PDP reserves	0%
			Risk adjusted PDNP reserves	20%
			Risk adjusted PUD reserves	80%
			Cash flow multiple	4.0x - 7.0x (5.6x)
		Value of Undeveloped Acreage	Price per acre	$500

(1) In determining certain of these inputs, the General Partner evaluates a variety of factors including economic conditions, industry and comparable companies and company specific developments including growth avenues, exit strategies and realization opportunities. The General Partner also evaluates the following unobservable inputs in considering the fair value of its investments: third party engineering reserve reports, oil and gas NYMEX future prices, risk-adjusted discount factors based on reserve category, capital expenditures and operating costs of the company, financial information obtained from each company including unaudited financial statements for the most recent period available, estimated financial performance and budget to actual variance analysis; current and projected financial condition of the company; current and projected ability of the company to service its debt obligations; type and amount of collateral, if any, underlying the investment; current financial ratios applicable to each investment; pending debt or capital restructuring of the company; projected operating results of the company; current information regarding any offers to purchase the investment; current ability of the company to raise any additional financing as needed. The General Partner has determined that market participants would take these inputs into account when valuing the investment. Once the General Partner has estimated the underlying entities' business enterprise value, a waterfall analysis of the entities' capital structure should be considered. Reserve categories are defined as follows: PDP - proved developed producing, PDNP - proved developed nonproducing, PUD - proved undeveloped, Prob - unproved probable, and Poss - unproved possible.

(2) Significant increases or decreases in any of the above unobservable inputs in isolation may result in a significant lower or higher fair value measurement, respectively.

During the nine months ended September 30, 2022, there were no purchases of Level 3 investments. The classification of an investment within level 3 is based upon the significance of the unobservable inputs to the overall fair value measurement.

Transfers into and out of Level 3 are recorded at the value of the assets at the beginning of the year. During the nine months ended September 30, 2022, the Partnership did not have any transfers between any levels of the fair valuation hierarchy. Because of the inherent uncertainty of valuation of these level 3 investments, those estimated values may differ significantly from values that would have been used had a ready market for the investments existed. Such differences could be material.

Concentration of Risk

As the Partnership's investments are primarily in the domestic independent oil and gas sector, revenue and profitability are dependent upon numerous factors beyond the Partnership's control, such as economic and political developments in the industry and competition from other sources of energy. The energy markets have historically been very volatile and there can be no assurance that oil and gas prices will not be subject to wide fluctuations in the future. A substantial or extended decline in oil and gas prices could have a material adverse effect on the Partnership's financial position, results of operations and cash flows.

The Partnership's investment program requires a moderate amount of diversification among its portfolio companies. Under the Partnership Agreement, the Partnership may not invest more than 15% of total commitments in any one portfolio company without the prior approval of the Advisory Board or 20% of total commitments in any one portfolio company without consent of at least 66 2/3% of the Limited Partners. This policy may subject the Partnership to greater volatility than would usually be present in a more diversified portfolio, inasmuch as poor performance with respect to any one investment by the Partnership may expose the Partnership to a greater degree of loss than would be the case with a more broadly diversified investment program.

Most of the total commitment will be invested in privately negotiated equity and equity-related investments. Generally, there is no readily available market for such investments and, as such, the Partnership might take longer to liquidate these positions than would be the case for investments in publicly traded securities. Although these securities may be resold in privately negotiated transactions, the prices on these sales could be less than those originally paid by the Partnership. Also, issuers whose securities are not publicly traded may not be subject to public disclosure and other investor protection requirements applicable to publicly traded securities. In addition, the issuers of such privately negotiated securities are companies which typically have limited capitalization and limited operating histories, companies operating at a loss or with significant variations in operating results from period to period, companies which may need substantial additional capital to support operations and growth, and companies which may be highly leveraged. By their nature, such investments possess a high degree of business and financial risk that may result in substantial losses.

Cash and Cash Equivalents

Cash and cash equivalents consist of demand deposits and cash held in Fidelity Investments Money Market Funds Treasury Portfolio – Class I ("Fidelity money market account"), a money market fund which contains investments with weighted average maturities of three months or less. As of September 30, 2022, the Partnership has cash in its Fidelity money market account of $19,455,186. The Partnership places its cash and cash equivalents with financial institutions and, at times, cash held in bank accounts may exceed the Federal Deposit Insurance Corporation insured limit. Cash and cash equivalents are classified as Level 1 assets and are carried at cost or amortized cost which approximates fair value.

Income and Expenses

Income and expenses from the Partnership's general operations are recognized on the accrual basis.

Investment Transactions and Related Investment Income

Investment transactions are accounted for on a trade-date basis. Dividend income is recorded on the record date with the exception of dividend income from marketable securities which is recorded on the ex-dividend date.

Gains or Losses on Investments

Realized gains and losses on investments represent the difference between the original cost of the investments and the related market price at the sale or distribution date, net of expenses, as well as write-offs. The difference between the original cost and the estimated fair value of investments, including any receivable for holdbacks, owned at the end of the period represents unrealized gains or losses.

Income Taxes

No provision for federal income taxes is included in the accompanying financial statements. As the Partnership is not subject to income taxation, the tax effects of its activities accrue to the individual partners.

The Partnership's tax returns are subject to examination by federal and state taxing authorities. As of December 31, 2021, the earliest tax year that remains subject to examination under the standard limitation period is 2018. Pursuant to the Bipartisan Budget Act of 2015, for tax years beginning after December 31, 2017, if the IRS makes audit adjustments to the Partnership's income tax returns, it (and some states) may assess and collect any taxes (including any applicable penalties and interest) resulting from such audit adjustments directly from the Partnership. To the extent possible under the new rules, the Partnership's general partner may elect to either pay the taxes (including any applicable penalties and interest) directly to the IRS or, if eligible, issue a revised information statement to each current limited partner and former limited partner with respect to an audited and adjusted return. Although the Partnership's general partner may elect to have the limited partners take such audit adjustment into account and pay any resulting taxes (including applicable penalties or interest) in accordance with their interests in the Partnership during the tax year under audit, there can be no assurance that such election will be practical, permissible or effective in all circumstances. As a result, current limited partners may bear some or all of the tax liability resulting from such audit adjustment, even if such limited partners did not own an interest in the Partnership during the tax year under audit. If, as a result of any such audit adjustment, the Partnership is required to make payments of taxes, penalties and interest, the cash available for distribution to our limited partners might be substantially reduced. These rules are not applicable for tax years beginning on or prior to December 31, 2017.

In accordance with a provision of the FASB guidance "Income Taxes", the General Partner is required to determine whether a tax position of the Partnership is more likely than not to be sustained upon examination by the applicable taxing authority, including resolution of any related appeals or litigation processes, based on the technical merits of the position. The tax benefit to be recognized is measured as the largest amount of benefit that is greater than fifty percent likely of being realized upon ultimate settlement which could result in the Partnership recording a tax liability that would reduce partners' capital. Based on the General Partner's analysis, there are no material disclosures or adjustments impacting the Partnership's financial statements as of September 30, 2022. The Partnership does not expect that its assessment regarding unrecognized tax benefits will materially change over the next twelve months. However, the General Partner's conclusions may be subject to review and adjustment at a later date based on on-going analyses of tax laws, regulations and interpretations thereof and other factors.

NOTE 3 – INVESTMENT TRANSACTIONS:

The Partnership made equity investments in certain private entities that are primarily engaged in the acquisition, development and operation of oil and gas properties. Generally, the related limited liability company and partnership agreements provide for a specified percentage sharing of revenues and expenses until the Partnership has achieved a specified internal rate of return and return on investment. After this level of return has been achieved, the percentage-sharing ratio is adjusted to provide for an increased allocation to the management group of the investee and a decreased allocation to the Partnership.

Total contributions to and proceeds from investments are as follows:

	Nine months ended September 30, 2022	
	Contributions	Proceeds
Private equity investment holdings:		
Red Rocks Company, LLC	$ —	$ 3,500,000
Tracker Resource Development III, LLC	—	749,774
Forge Energy Holdings, LLC	—	1,143,529
FireWheel Energy, LLC	—	93,679,494
Plantation Petroleum Company LLC	—	385,666
Grenadier Energy Partners II, LLC	—	70,060
PEP III Holdings, LLC	—	7,647,348
Public equity investment holdings:		
Southwestern Energy Company	—	395,094
	$ —	$ 107,570,965

In July 2022, Red Rocks Company, LLC sold its remaining assets and distributed cash proceeds of $3,500,000 to the Partnership, resulting in a realized gain of $500,706.

In May 2022, the Partnership received liquidating proceeds from Tracker Resource Development III, LLC of $749,774 that was deemed a return of capital.

In April 2022, the Partnership received proceeds from PEP III Holdings, LLC of $7,647,348 that was deemed a return of capital.

In April 2022, the Partnership received proceeds from Forge Energy Holdings, LLC of $1,143,529 that was deemed a return of capital.

In March 2022, the Partnership received a liquidating distribution from Plantation Petroleum Company LLC of $385,666, resulting in a realized gain of $385,666.

In February 2022, the Partnership received a cash distribution from FireWheel Energy, LLC of $93,679,494, resulting in a realized loss of $10,270,506.

NOTE 4 – ALLOCATIONS TO PARTNERS:

The Partnership Agreement provides that net increase (decrease) in partners' capital resulting from operations associated with the Partnership is allocated 3% to the General Partner and 97% to the Limited Partners ("Partners' Sharing Ratio") until such time as the Limited Partners receive an 8% internal rate of return on their investment ("Preferred Return Payout"). After Preferred Return Payout is achieved, the General Partner is allocated 80% of all distributions and the Partners are allocated the remaining 20% in proportion to their respective ownership percentages until such time the General Partner has been distributed 20% of total net distributions from the Partnership ("Catch-Up Payout"). After Catch-Up Payout is achieved, cash distributions are allocated 80% to the Partners in proportion to their ownership shares and 20% to the General Partner. Upon liquidation of the Partnership, the General Partner will be required to restore funds to the Partnership to the extent distributions are in excess of 20% of distributions made after Preferred Return Payout. Funds returned to the Partnership for this purpose will be distributed to the Limited Partners in proportion to their aggregate funded commitments.

Net increase in partners' capital resulting from operations was allocated between the General Partner and Limited Partners in accordance with the allocation methodology described above. During the nine months ended September 30, 2022, the net increase in partners' capital resulting from operations allocated to the General Partner and Limited Partners was $10,839,738 and $350,484,889, respectively.

NOTE 5 – TRANSACTIONS WITH RELATED PARTIES:

The General Partner initially receives an annual management fee equal to 1.5% of total partner commitments, payable in advance at the beginning of each quarter. The initial management fee period expires upon the earlier of (a) five years from the final closing date, (b) the date the fund is fully invested, (c) the date a subsequent fund organized by the General Partner makes its first investment or (d) the occurrence of certain other events as specified in the Partnership Agreement. After such time, the annual management fee is equal to 1.5% of the Partnership's cash investment in remaining portfolio investments reduced by amounts distributed to the extent such amounts constitute a return of capital and any write-down or write-off where the General Partner has determined that such portfolio investment will not be repaid or recouped by the Partnership. The initial management fee period expired on December 19, 2012 upon the activation of EnCap Energy Capital Fund IX, L.P. The management fee paid by the Partnership is reduced in the subsequent quarter by 100% of any transaction fees received by the General Partner. The management fee constitutes full reimbursement by the Partnership to the General Partner for the General Partner's administrative expenses, including, but not limited to, salaries and wages of officers and employees of the General Partner, office rent, utilities and other general, administrative and overhead expenses. In accordance with the Partnership Agreement, amended October 6, 2020, no additional management fees are charged to the Partnership after October 7, 2020 through the remainder of the life of the Partnership.

During the nine months ended September 30, 2022, the Partnership reimbursed EnCap Investments L.P. ("EnCap"), an affiliate of the Partnership, $660,310 for general and administrative expenses. At September 30, 2022, the Partnership owed $0 to EnCap for general and administrative expenses.

Managing Directors of the General Partner may serve on the Board of Directors of the Partnership's underlying portfolio companies.

Pursuant to the Partnership Agreement, the Partnership has agreed to indemnify the General Partner and its affiliates against certain losses and other liabilities to which they may become subject in connection with matters arising out of or in connection with the Partnership's business and affairs. The Partnership believes that it is unlikely that it will have to make material payments under these arrangements, and no liabilities related to these indemnifications have been recognized on the accompanying Statement of Assets, Liabilities and Partners' Capital.

NOTE 6 – FINANCIAL HIGHLIGHTS:

The following financial highlights for the year ended December 31, 2021, have been calculated in accordance with guidance provided in Accounting Standards Codification 946, "Financial Services – Investment Companies":

Net investment income ratio	0.0%
Expense ratios:	
Operating expenses	0.1%
Unearned incentive allocation	0.0%
Operating expenses and unearned incentive allocation ratio	0.1%
Internal rate of return net of incentive allocation (Inception to December 31, 2021)	-1.6%
Internal rate of return net of incentive allocation (Inception to December 31, 2020)	-8.5%

The net investment income and expense ratios are calculated for the Limited Partners taken as a whole. The net investment income and operating expenses ratios do not reflect the effects of the incentive allocation to the General Partner. The internal rate of return from inception is calculated based on the actual dates of the cash inflows and outflows and the residual value of the Limited Partners' capital account, net of all incentive allocations, if any, as of each measurement date. Future realization of investments may be at different values than currently carried fair values, resulting in rates of return that may differ materially from that indicated above.

NOTE 7 – COMMITMENTS AND CONTINGENCIES:

The Partnership's investments are subject to legal proceedings, claims, and litigation arising in the ordinary course of business. Each investee defends itself vigorously against any such claims. Although the outcome of these matters is currently not determinable, the General Partner does not expect that the ultimate costs to resolve these matters will have a material adverse effect on its financial position, results of operations, or cash flows.

ENCAP ENERGY CAPITAL FUND VIII-B, L.P. AND SUBSIDIARY

CONSOLIDATED FINANCIAL STATEMENTS

SEPTEMBER 30, 2022

ENCAP ENERGY CAPITAL FUND VIII-B, L.P. AND SUBSIDIARY

CONSOLIDATED STATEMENT OF ASSETS, LIABILITIES AND PARTNERS' CAPITAL

		September 30, 2022
ASSETS		
Investment in EnCap Energy Capital Fund VIII, L.P., at fair value	$	102,058,042
Cash and cash equivalents		1,434,948
Total assets	$	103,492,990
LIABILITIES AND PARTNERS' CAPITAL		
Due to affiliate	$	—
Taxes payable		198,523
Total liabilities		198,523
Partners' capital:		
General Partner		—
Limited Partners		103,294,467
Total partners' capital		103,294,467
Total liabilities and partners' capital	$	103,492,990

The accompanying notes are an integral part of these consolidated financial statements.

ENCAP ENERGY CAPITAL FUND VIII-B, L.P. AND SUBSIDIARY

CONSOLIDATED STATEMENT OF OPERATIONS

	Nine months ended September 30, 2022
Net investment income allocated from EnCap Energy Capital Fund VIII, L.P.:	
Investment income	$ 4,727,275
Investment expense	(38,559)
Net investment income allocated from EnCap Energy Capital Fund VIII, L.P.	4,688,716
Investment income:	
Interest	6,330
Total investment income	6,330
Expenses:	
General and administrative	118,081
Total expenses	118,081
Net investment income	4,576,965
Realized and unrealized gain (loss) on investments allocated from EnCap Energy Capital Fund VIII, L.P.:	
Net realized loss on investments	(586,217)
Net change in unrealized appreciation on investments	18,638,871
Net realized and unrealized gain on investments allocated from EnCap Energy Capital Fund VIII, L.P.	18,052,654
Income before provision for income taxes	22,629,619
Provision for income taxes	248,174
Net increase in partners' capital resulting from operations	$ 22,381,445

The accompanying notes are an integral part of these consolidated financial statements.

ENCAP ENERGY CAPITAL FUND VIII-B, L.P. AND SUBSIDIARY

CONSOLIDATED STATEMENT OF CHANGES IN PARTNERS' CAPITAL

	General Partner	Limited Partners	Total
Partners' capital at December 31, 2021	$ —	$ 91,716,481	$ 91,716,481
Capital distributions	—	(10,803,459)	(10,803,459)
Net increase in partners' capital resulting from operations	—	22,381,445	22,381,445
Partners' capital at September 30, 2022	$ —	$ 103,294,467	$ 103,294,467

The accompanying notes are an integral part of these consolidated financial statements.

ENCAP ENERGY CAPITAL FUND VIII-B, L.P. AND SUBSIDIARY

CONSOLIDATED STATEMENT OF CASH FLOWS

	Nine months ended September 30, 2022
Cash flows from operating activities:	
Net increase in partners' capital resulting from operations	$ 22,381,445
Adjustments to reconcile increase in partners' capital resulting from operations to net cash provided by operating activities:	
Proceeds from EnCap Energy Capital Fund VIII, L.P.	10,973,625
Net investment income allocated from EnCap Energy Capital Fund VIII, L.P.	(4,688,716)
Realized loss on investment	586,217
Change in unrealized appreciation on investment	(18,638,871)
Change in operating assets and liabilities	
Increase (decrease) in due to affiliate	(52,488)
Increase (decrease) in taxes payable	197,528
Net cash provided by operating activities	10,758,740
Cash flows from financing activities:	
Distributions to partners	(10,803,459)
Net cash used for financing activities	(10,803,459)
Net change in cash and cash equivalents	(44,719)
Cash and cash equivalents, beginning of period	1,479,667
Cash and cash equivalents, end of period	$ 1,434,948

The accompanying notes are an integral part of these consolidated financial statements.

ENCAP ENERGY CAPITAL FUND VIII-B, L.P. AND SUBSIDIARY

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

NOTE 1 – ORGANIZATION:

EnCap Energy Capital Fund VIII-B, L.P. (the "Partnership"), a Texas limited partnership, was formed on October 7, 2010 to provide its partners with an opportunity to participate as a limited partner in EnCap Energy Capital Fund VIII, L.P. ("Fund VIII"), a Texas limited partnership. Fund VIII was formed on October 7, 2010 to invest in privately negotiated equity and equity-related investments in the upstream and midstream independent oil and gas sector of North America. The Partnership operates pursuant to a partnership agreement (the "Partnership Agreement") dated October 7, 2010, which should be referred to for a complete description of the provisions of the Partnership. EnCap Equity Fund VIII GP, L.P. ("General Partner"), a Texas limited partnership, is the sole general partner of the Partnership and the general partner of Fund VIII. The General Partner does not own an economic interest in the Partnership.

The Partnership's final close was on January 31, 2011. There are 37 investors owning the limited partnership interests ("Limited Partners") in the Partnership. The Limited Partners' total capital commitments to the Partnership are $227.1 million. There were no remaining commitments outstanding by the Partners to the Partnership.

As a limited partner in Fund VIII, the Partnership indirectly invests in all corresponding investments in Fund VIII and receives a proportionate amount of investment income, gains (losses) and expenses equal to its relative contribution of capital as pursuant to the Fund VIII partnership agreement. The financial statements of Fund VIII, including the Schedule of Investments, are attached to this report and should be read with the Partnership's financial statements. The Partnership's funded ownership interest in Fund VIII is 6.293889%. EnCap Energy VIII-B, L.P. ("TE Blocker"), a wholly-owned subsidiary of the Partnership, was formed on October 7, 2010, for the purpose of being a limited partner of and holding record title to the limited partner interest in Fund VIII.

The Partnership was to be dissolved upon the expiration of a 10-year period ending October 7, 2020. On October 6, 2020, the Partnership Agreement was amended to extend the life of the Partnership until December 31, 2022. The amendment was approved by greater than 80% of the Limited Partners.

NOTE 2 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

Basis of Presentation

The accompanying consolidated financial statements have been prepared on the accrual basis in accordance with accounting principles generally accepted in the United States of America ("GAAP") and include the accounts of TE Blocker. The Partnership is considered an investment company under GAAP and follows the accounting and reporting guidance applicable to investment companies in the Financial Accounting Standards Board Accounting Codification ("ASC") 946, Financial Services – Investment Companies.

Consolidation

TE Blocker is included in the accounts of the Partnership. All intercompany balances and transactions have been eliminated from the consolidated financial statements.

Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires the General Partner to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the dates of the financial statements and the reported amounts of revenue and expenses during the reporting period. Actual results, including the ultimate amount realized upon the sale of illiquid and/or fair valued investments, can, and often do, differ from those estimates.

Investment valuation and transactions

The Financial Standards Accounting Board ("FASB") guidance "Fair Value Measures," establishes a fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (level 1 measurement) and the lowest priority to unobservable inputs (level 3 measurements). The three levels of the fair value hierarchy under the guidance are as follows:

Level 1 Inputs that reflect unadjusted quoted prices in active markets for identical assets or liabilities that the Partnership has the ability to access at the measurement date;

Level 2 Inputs other than quoted prices that are observable for the asset or liability either directly or indirectly, including inputs in markets that are not considered to be active;

Level 3 Prices, inputs or modeling techniques which are both significant to the fair value measurement and unobservable (supported by little or no marked activity).

As of September 30, 2022, the investment in Fund VIII is excluded from the fair value hierarchy leveling as the fair value of the investment was measured at net asset value ("NAV") using the practical expedient. Fund VIII's valuation policies are discussed in Note 2 of the Fund VIII financial statements attached to this report.

Concentration of Risk

As the Partnership's investment in Fund VIII is primarily related to the domestic independent oil and gas sector, revenue and profitability are dependent upon numerous factors beyond the Partnership's control, such as economic and political developments in the industry and competition from other sources of energy. The energy markets have historically been very volatile and there can be no assurance that oil and gas prices will not be subject to wide fluctuations in the future. A substantial or extended decline in oil and gas prices could have a material adverse effect on the Partnership's financial position, results of operations and cash flows.

Fund VIII's investment program requires a moderate amount of diversification among its portfolio companies. Under the Partnership Agreement, Fund VIII may not invest more than 15% of total commitments in any one portfolio company without the prior approval of the Advisory Board or 20% of total commitments in any one portfolio company without consent of at least 66 2/3% of its limited partners. This policy may subject Fund VIII to greater volatility than would usually be present in a more diversified portfolio, inasmuch as poor performance with respect to any one investment by Fund VIII may expose the Partnership to a greater degree of loss than would be the case with a more broadly diversified investment program.

Most of the total commitment will be invested through Fund VIII in privately negotiated equity and equity-related investments. Generally, there is no readily available market for such investments and, as such, Fund VIII might take longer to liquidate these positions than would be the case for investments in publicly traded securities. Although these securities may be resold in privately negotiated transactions, the prices on these sales could be less than those originally paid by Fund VIII. Also, issuers whose securities are not publicly traded may not be subject to public disclosure and other investor protection requirements applicable to publicly traded securities. In addition, the issuers of such privately negotiated securities are companies which typically have limited capitalization and limited operating histories, companies operating at a loss or with significant variations in operating results from period to period, companies which may need substantial additional capital to support operations and growth, and companies which may be highly leveraged. By their nature, such investments possess a high degree of business and financial risk that may result in substantial losses.

Cash and Cash Equivalents

Cash and cash equivalents consist of demand deposits and cash held in Fidelity Investments Money Market Funds Treasury Portfolio – Class I ("Fidelity money market account"), a money market fund which contains investments with weighted average maturities of three months or less. As of September 30, 2022, the Partnership has cash in its Fidelity money market account of $1,434,948. The Partnership places its cash and cash equivalents with financial institutions and, at times, cash held in bank accounts may exceed the Federal Deposit Insurance Corporation insured limit. Cash and cash equivalents are classified as Level 1 assets and are carried at cost or amortized cost which approximates fair value.

Income and Expenses

Income and expenses from the Partnership's general operations are recognized on the accrual basis.

Gains or Losses on Investments

Realized gains and losses on investments represent the pro-rata allocation of Fund VIII's difference between the original cost of the investments and the related market price at the sale or distribution date, net of expenses, as well as write-offs. The difference between the original cost and the estimated fair value of investments, including any receivable for holdbacks, owned at the end of the period represents unrealized gains or losses.

Income Taxes

The Partnership's consolidated financial statements include provisions for income tax expense and income taxes payable by its subsidiary, TE Blocker. In accordance with the FASB guidance "Income Taxes", TE Blocker provides for all income taxes payable and for deferred taxes arising from temporary differences between the book and tax bases of assets and liabilities using enacted tax rates and laws in effect in the years in which differences are expected to reverse. Income taxes paid and payable by TE Blocker are allocated to the Partners based on their respective sharing percentages in effect at the time of the respective expense or benefit is incurred. A valuation allowance is recognized for deferred tax assets if it is more likely than not that some or all of the deferred tax asset will not be realized.

The Partnership is not subject to income taxation, the tax effects of its activities accrue to the individual partners. The Partnership's tax returns are subject to examination by federal and state taxing authorities, where applicable. As of December 31, 2021, the earliest tax year that remains subject to examination under the standard limitation period is 2018. Pursuant to the Bipartisan Budget Act of 2015, for tax years beginning after December 31, 2017, if the IRS makes audit adjustments to the Partnership's income tax returns, it (and some states) may assess and collect any taxes (including any applicable penalties and interest) resulting from such audit adjustments directly from the Partnership. To the extent possible under the new rules, the Partnership's general partner may elect to either pay the taxes (including any applicable penalties and interest) directly to the IRS or, if eligible, issue a revised information statement to each current limited partner and former limited partner with respect to an audited and adjusted return. Although the Partnership's general partner may elect to have the limited partners take such audit adjustment into account and pay any resulting taxes (including applicable penalties or interest) in accordance with their interests in the Partnership during the tax year under audit, there can be no assurance that such election will be practical, permissible or effective in all circumstances. As a result, current limited partners may bear some or all of the tax liability resulting from such audit adjustment, even if such limited partners did not own an interest in the Partnership during the tax year under audit. If, as a result of any such audit adjustment, the Partnership is required to make payments of taxes, penalties and interest, the cash available for distribution to our limited partners might be substantially reduced. These rules are not applicable for tax years beginning on or prior to December 31, 2017.

The General Partner is required to determine whether a tax position of the Partnership is more likely than not to be sustained upon examination by the applicable taxing authority, including resolution of any related appeals or litigation processes, based on the technical merits of the position. The tax benefit to be recognized is measured as the largest amount of benefit that is greater than fifty percent likely of being realized upon ultimate settlement which could result in the Partnership recording a tax liability that would reduce partners' capital. Based on the General Partner's analysis, there are no material disclosures or adjustments impacting the Partnership's financial statements as of September 30, 2022. The Partnership does not expect that its assessment regarding unrecognized tax benefits will materially change over the next twelve months. However, the General Partner's conclusions may be subject to review and adjustment at a later date based on on-going analyses of tax laws, regulations and interpretations thereof and other factors.

NOTE 3 – ALLOCATIONS TO PARTNERS:

The Partnership Agreement provides that the net increase (decrease) in partners' capital resulting from operations associated with the Partnership is allocated 100% to the Limited Partners on a pro-rata basis.

NOTE 4 – TRANSACTIONS WITH RELATED PARTIES:

During the nine months ended September 30, 2022, the Partnership reimbursed EnCap Investments L.P. ("EnCap"), an affiliate of the Partnership, $170,569 for general and administrative expenses. At September 30, 2022, the Partnership owed EnCap $0 for general and administrative expenses.

NOTE 5 – INCOME TAXES:

The Partnership, in consolidating TE Blocker, recorded an income tax benefit of $159 during the year ended December 31, 2021. Set forth below is a reconciliation between taxes on income subject to taxation computed at the Federal statutory rate of 21% and the Partnership's reported provision for income taxes:

		December 31, 2021
Income before income taxes	$	44,033,753
Nontaxable partnership loss		(14,086,654)
Income subject to taxation	$	29,947,099
Income taxes on above at statutory rate	$	6,288,891
State taxes		2,178,769
Valuation Allowance/(Release)		(8,537,037)
Provision to return		66,782
Other		2,436
Income Taxes	$	(159)

The following table reflects the components of income tax expense included in income from continuing operations:

		December 31, 2021
Current		
Federal	$	-
State		(159)
Total Current		(159)
Deferred		
Federal		-
State		-
Total Deferred		-
Total income taxes	$	(159)

The Partnership has recorded a net deferred tax asset of approximately $32,762,491 during the tax year ended December 31, 2021, primarily related to net operating loss carryforwards and deferred interest. The Partnership has $91,038,824 of federal net operating loss carryforwards as of December 31, 2021 and state net operating loss carryforwards of $29,416,698 that expire beginning in 2022. The Partnership has $10,206,216 of federal capital loss carryforwards available that expire beginning in 2025. As a result of The Tax Reform Act, federal net operating losses and certain state net operating losses generated in tax years beginning after December 31, 2017 can be carried forward indefinitely. Realization of deferred tax assets associated with net operating loss carryforwards is dependent upon generating sufficient taxable income prior to their expiration. Management believes that the weight of available evidence suggests that it is more likely than not that the deferred tax asset will not be realized as of December 31, 2021 and have provided a full valuation allowance against the deferred tax asset comprised of the following:

		December 31, 2021
Net operating loss carryforwards	$	20,826,356
Capital loss carryforward		2,143,305
IDC Amortization		2,092,978
R&D tax credit		8,270
Deferred interest deductions and other		20,883,331
Valuation allowance		(32,762,491)
Deferred tax asset		13,191,749
Book versus tax basis difference in investments		(13,191,749)
Deferred tax liability		(13,191,749)
Net deferred tax asset/(liability)	$	-

As of December 31, 2021, the Partnership has examined all material federal and state tax positions for all open tax years and is not aware of any uncertain tax positions requiring adjustments to the tax liability. If applicable, we will record to the income tax provision any interest and penalties related to unrecognized tax positions.

NOTE 6 – FINANCIAL HIGHLIGHTS:

The following financial highlights for the year ended December 31, 2021 have been calculated in accordance with guidance provided in Accounting Standards Codification 946, "Financial Services – Investment Companies":

Net investment loss ratio	-0.1%
Expense ratios:	
Expenses	0.2%
Unearned incentive allocation	0.0%
Expenses including unearned incentive allocation ratio	0.2%
Internal rate of return net of incentive allocation (Inception to December 31, 2021)	-1.7%
Internal rate of return net of incentive allocation (Inception to December 31, 2020)	-8.5%

The net investment loss and expense ratios are calculated for the Limited Partners taken as a whole. The net investment loss and expenses ratios do not reflect the effects of the incentive allocation to the General Partner. The expense ratios include expenses allocated from Fund VIII and the effect of the income tax provision. The internal rate of return from inception is calculated based on the actual dates of the cash inflows and outflows and the residual value of the Limited Partners' capital account, net of all incentive allocations, if any, as of each measurement date. Future realization of investments may be at different values than currently carried fair values, resulting in rates of return that may differ materially from that indicated above.

NOTE 7 – COMMITMENTS AND CONTINGENCIES:

The Partnership's investments are subject to legal proceedings, claims, and litigation arising in the ordinary course of business. Each investee defends itself vigorously against any such claims. Although the outcome of these matters is currently not determinable, the General Partner does not expect that the ultimate costs to resolve these matters will have a material adverse effect on its financial position, results of operations, or cash flows.

ENCAP ENERGY CAPITAL FUND VIII-C, L.P. AND SUBSIDIARY

CONSOLIDATED FINANCIAL STATEMENTS

SEPTEMBER 30, 2022

ENCAP ENERGY CAPITAL FUND VIII-C, L.P. AND SUBSIDIARY

CONSOLIDATED STATEMENT OF ASSETS, LIABILITIES AND PARTNERS' CAPITAL

	September 30, 2022
ASSETS	
Investment in EnCap Energy Capital Fund VIII, L.P., at fair value	$ 296,378,484
Cash	2,136,243
Restricted cash	485,560
Due from Limited Partners	200,000
Total assets	$ 299,200,287
LIABILITIES AND PARTNERS' CAPITAL	
Due to affiliate	$ —
Due to Limited Partners	485,560
Taxes payable	544,788
Total liabilities	1,030,348
Partners' capital:	
General Partner	—
Limited Partners	298,169,939
Total partners' capital	298,169,939
Total liabilities and partners' capital	$ 299,200,287

The accompanying notes are an integral part of these consolidated financial statements.

ENCAP ENERGY CAPITAL FUND VIII-C, L.P. AND SUBSIDIARY

CONSOLIDATED STATEMENT OF OPERATIONS

	Nine months ended September 30, 2022
Net investment income allocated from EnCap Energy Capital Fund VIII, L.P.:	
Investment income	$ 13,728,096
Investment expense	(111,976)
Net investment income allocated from EnCap Energy Capital Fund VIII, L.P.	13,616,120
Expenses:	
General and administrative	129,426
Total expenses	129,426
Net investment income	13,486,694
Realized and unrealized gain (loss) on investments allocated from EnCap Energy Capital Fund VIII, L.P.:	
Net realized loss on investments	(1,702,387)
Net change in unrealized appreciation on investments	54,127,633
Net realized and unrealized gain on investments allocated from EnCap Energy Capital Fund VIII, L.P.	52,425,246
Income before provision for income taxes	65,911,940
Provision for income taxes	683,007
Net increase in partners' capital resulting from operations	$ 65,228,933

The accompanying notes are an integral part of these consolidated financial statements.

ENCAP ENERGY CAPITAL FUND VIII-C, L.P. AND SUBSIDIARY

CONSOLIDATED STATEMENT OF CHANGES IN PARTNERS' CAPITAL

	General Partner	Limited Partners	Class B Limited Partners	Total
Partners' capital at December 31, 2021	$ —	$ 262,611,853	$ 2,006,202	$ 264,618,055
Capital distributions	—	(31,436,889)	(240,160)	(31,677,049)
Net increase in partners' capital resulting from operations	—	64,734,400	494,533	65,228,933
Partners' capital at September 30, 2022	$ —	$ 295,909,364	$ 2,260,575	$ 298,169,939

The accompanying notes are an integral part of these consolidated financial statements.

ENCAP ENERGY CAPITAL FUND VIII-C, L.P. AND SUBSIDIARY

CONSOLIDATED STATEMENT OF CASH FLOWS

	Nine months ended September 30, 2022
Cash flows from operating activities:	
Net increase in partners' capital resulting from operations	$ 65,228,933
Adjustments to reconcile increase in partners' capital resulting from operations to net cash provided by operating activities:	
Proceeds from EnCap Energy Capital Fund VIII, L.P.	31,867,613
Net investment income allocated from EnCap Energy Capital Fund VIII, L.P.	(13,616,120)
Realized loss on investment	1,702,387
Change in unrealized appreciation on investment	(54,127,633)
Change in operating assets and liabilities	
(Increase) decrease in taxes receivable	37,370
Increase (decrease) in due to affiliate	(64,908)
Increase (decrease) in taxes payable	544,788
Net cash provided by operating activities	31,572,430
Cash flows from financing activities:	
Distributions to partners	(31,677,049)
Net cash used for financing activities	(31,677,049)
Net change in cash and restricted cash	(104,619)
Cash and restricted cash, beginning of period	2,726,422
Cash and restricted cash, end of period	$ 2,621,803

The accompanying notes are an integral part of these consolidated financial statements.

ENCAP ENERGY CAPITAL FUND VIII-C, L.P. AND SUBSIDIARY

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

NOTE 1 – ORGANIZATION:

EnCap Energy Capital Fund VIII-C, L.P. (the "Partnership"), a Cayman exempt limited partnership, was formed on January 31, 2011 to provide its partners with an opportunity to participate as a limited partner in EnCap Energy Capital Fund VIII, L.P. ("Fund VIII"), a Texas limited partnership. Fund VIII was formed on October 7, 2010 to invest in privately negotiated equity and equity-related investments in the upstream and midstream independent oil and gas sector of North America. The Partnership operates pursuant to a partnership agreement (the "Partnership Agreement") dated January 31, 2011, which should be referred to for a complete description of the provisions of the Partnership. EnCap Equity Fund VIII GP, L.P. ("General Partner"), a Texas limited partnership, is the sole general partner of the Partnership and the general partner of Fund VIII. The General Partner does not own an economic interest in the Partnership.

The Partnership's final close was on January 31, 2011. There are 7 investors owning the limited partnership interests, including Class B, ("Limited Partners") in the Partnership. The Limited Partners' total capital commitments to the Partnership are $659.5 million. There were no remaining commitments outstanding by the Partners to the Partnership.

As a limited partner in Fund VIII, the Partnership indirectly invests in all corresponding investments in Fund VIII and receives a proportionate amount of investment income, gains (losses) and expenses equal to its relative contribution of capital as pursuant to the Fund VIII partnership agreement. The financial statements of Fund VIII, including the Schedule of Investments, are attached to this report and should be read with the Partnership's financial statements. The Partnership's funded ownership interest in Fund VIII is 18.277571%. EnCap Energy VIII-C, Inc. ("Foreign Blocker"), a wholly-owned subsidiary of the Partnership, was formed on January 31, 2011, for the purpose of being a limited partner of and holding record title to the limited partner interest in Fund VIII.

The Partnership was to be dissolved upon the expiration of a 10-year period ending October 7, 2020. On October 6, 2020, the Partnership Agreement was amended to extend the life of the Partnership until December 31, 2022. The amendment was approved by greater than 80% of the Limited Partners.

NOTE 2 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

Basis of Presentation

The accompanying consolidated financial statements have been prepared on the accrual basis in accordance with accounting principles generally accepted in the United States of America ("GAAP"), and include the accounts of Foreign Blocker. The Partnership is considered an investment company under GAAP and follows the accounting and reporting guidance applicable to investment companies in the Financial Accounting Standards Board Accounting Codification ("ASC") 946, Financial Services – Investment Companies.

Consolidation

Foreign Blocker is included in the accounts of the Partnership. All intercompany balances and transactions have been eliminated from the consolidated financial statements.

Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires the General Partner to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the dates of the financial statements and the reported amounts of revenue and expenses during the reporting period. Actual results, including the ultimate amount realized upon the sale of illiquid and/or fair valued investments, can, and often do, differ from those estimates.

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Investment valuation and transactions

The Financial Standards Accounting Board ("FASB") guidance "Fair Value Measures," establishes a fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (level 1 measurement) and the lowest priority to unobservable inputs (level 3 measurements). The three levels of the fair value hierarchy under the guidance are as follows:

Level 1 Inputs that reflect unadjusted quoted prices in active markets for identical assets or liabilities that the Partnership has the ability to access at the measurement date;

Level 2 Inputs other than quoted prices that are observable for the asset or liability either directly or indirectly, including inputs in markets that are not considered to be active;

Level 3 Prices, inputs or modeling techniques which are both significant to the fair value measurement and unobservable (supported by little or no marked activity).

As of September 30, 2022, the investment in Fund VIII is excluded from the fair value hierarchy leveling as the fair value of the investment was measured at net asset value ("NAV") using the practical expedient. Fund VIII's valuation policies are discussed in Note 2 of the Fund VIII financial statements attached to this report.

Concentration of Risk

As the Partnership's investment in Fund VIII is primarily related to the domestic independent oil and gas sector, revenue and profitability are dependent upon numerous factors beyond the Partnership's control, such as economic and political developments in the industry and competition from other sources of energy. The energy markets have historically been very volatile and there can be no assurance that oil and gas prices will not be subject to wide fluctuations in the future. A substantial or extended decline in oil and gas prices could have a material adverse effect on the Partnership's financial position, results of operations and cash flows.

Fund VIII's investment program requires a moderate amount of diversification among its portfolio companies. Under the Partnership Agreement, Fund VIII may not invest more than 15% of total commitments in any one portfolio company without consent of at least 80% of its limited partners. This policy may subject Fund VIII to greater volatility than would usually be present in a more diversified portfolio, inasmuch as poor performance with respect to any one investment by Fund VIII may expose the Partnership to a greater degree of loss than would be the case with a more broadly diversified investment program.

Most of the total commitment will be invested through Fund VIII in privately negotiated equity and equity-related investments. Generally, there is no readily available market for such investments and, as such, Fund VIII might take longer to liquidate these positions than would be the case for investments in publicly traded securities. Although these securities may be resold in privately negotiated transactions, the prices on these sales could be less than those originally paid by Fund VIII. Also, issuers whose securities are not publicly traded may not be subject to public disclosure and other investor protection requirements applicable to publicly traded securities. In addition, the issuers of such privately negotiated securities are companies which typically have limited capitalization and limited operating histories, companies operating at a loss or with significant variations in operating results from period to period, companies which may need substantial additional capital to support operations and growth, and companies which may be highly leveraged. By their nature, such investments possess a high degree of business and financial risk that may result in substantial losses.

Cash

Cash represents cash deposits held at financial institutions which is readily available. At any time, cash in financial institutions may exceed federally insured limits.

Restricted Cash

The Partnership holds funds of Class B Limited Partners that elected to receive distributions limited to only debt repayment and interest until liquidation of the fund. These restricted fiduciary funds are shown as restricted cash in the consolidated balance sheet and the corresponding liability is included in Due to Limited Partners. Interest earned on these funds accrues to the benefit of the Class B Limited Partners in accordance with the Partnership Agreement.

Income and Expenses

Income and expenses from the Partnership's general operations are recognized on the accrual basis.

Gains or Losses on Investments

Realized gains and losses on investments represent the pro-rata allocation of Fund VIII's difference between the original cost of the investments and the related market price at the sale or distribution date, net of expenses, as well as write-offs. The difference between the original cost and the estimated fair value of investments, including any receivable for holdbacks, owned at the end of the period represents unrealized gains or losses.

Income Taxes

The Partnership's consolidated financial statements include provisions for income tax expense and income taxes payable by its subsidiary, Foreign Blocker. In accordance with the FASB guidance "Income Taxes", Foreign Blocker provides for all income taxes payable and for deferred taxes arising from temporary differences between the book and tax bases of assets and liabilities using enacted tax rates and laws in effect in the years in which differences are expected to reverse. Income taxes paid and payable by Foreign Blocker are allocated to the Partners based on their respective sharing percentages in effect at the time the respective expense or benefit is incurred. A valuation allowance is recognized for deferred tax assets if it is more likely than not that some or all of the deferred tax asset will not be realized.

The Partnership is not subject to income taxation, the tax effects of its activities accrue to the individual partners. The Partnership's tax returns are subject to examination by federal and state taxing authorities. As of December 31, 2021, the earliest tax year that remains subject to examination under the standard limitation period is 2018. Pursuant to the Bipartisan Budget Act of 2015, for tax years beginning after December 31, 2017, if the IRS makes audit adjustments to the Partnership's income tax returns, it (and some states) may assess and collect any taxes (including any applicable penalties and interest) resulting from such audit adjustments directly from the Partnership. To the extent possible under the new rules, the Partnership's general partner may elect to either pay the taxes (including any applicable penalties and interest) directly to the IRS or, if eligible, issue a revised information statement to each current limited partner and former limited partner with respect to an audited and adjusted return. Although the Partnership's general partner may elect to have the limited partners take such audit adjustment into account and pay any resulting taxes (including applicable penalties or interest) in accordance with their interests in the Partnership during the tax year under audit, there can be no assurance that such election will be practical, permissible or effective in all circumstances. As a result, current limited partners may bear some or all of the tax liability resulting from such audit adjustment, even if such limited partners did not own an interest in the Partnership during the tax year under audit. If, as a result of any such audit adjustment, the Partnership is required to make payments of taxes, penalties and interest, the cash available for distribution to our limited partners might be substantially reduced. These rules are not applicable for tax years beginning on or prior to December 31, 2017.

The General Partner is required to determine whether a tax position of the Partnership is more likely than not to be sustained upon examination by the applicable taxing authority, including resolution of any related appeals or litigation processes, based on the technical merits of the position. The tax benefit to be recognized is measured as the largest amount of benefit that is greater than fifty percent likely of being realized upon ultimate settlement which could result in the Partnership recording a tax liability that would reduce partners' capital. Based on the General Partner's analysis, there are no material disclosures or adjustments impacting the Partnership's financial statements as of September 30, 2022. The Partnership does not expect that its assessment regarding unrecognized tax benefits will materially change over the next twelve months. However, the General Partner's conclusions may be subject to review and adjustment at a later date based on on-going analyses of tax laws, regulations and interpretations thereof and other factors.

NOTE 3 – ALLOCATIONS TO PARTNERS:

The Partnership Agreement provides that the net increase (decrease) in partners' capital resulting from operations associated with the Partnership is allocated 100% to the Limited Partners on a pro-rata basis.

NOTE 4 – TRANSACTIONS WITH RELATED PARTIES:

During the nine months ended September 30, 2022, the Partnership reimbursed EnCap Investments L.P. ("EnCap"), an affiliate of the Partnership, $194,334 for general and administrative expenses. At September 30, 2022, the Partnership owed EnCap $0 for general and administrative expenses.

NOTE 5 – INCOME TAXES:

The Partnership, in consolidating Foreign Blocker, recorded an income tax benefit of $463 during the year ended December 31, 2021. Set forth below is reconciliation between taxes on income subject to taxation computed at the Federal statutory rate of 21% and the Partnership's reported provision for income taxes:

		December 31, 2021
Income before income taxes	$	128,095,447
Nontaxable partnership loss		(40,622,455)
Income subject to taxation	$	87,472,992
Income taxes on above at statutory rate	$	18,369,328
State taxes		6,426,830
Provision to return		(468,811)
Valuation allowance/(release)		(24,346,523)
Other		18,713
Income Taxes	$	(463)

The following table reflects the components of income tax expense included in income from continuing operations:

		December 31, 2021
Current		
Federal	$	-
State		(463)
Total Current		(463)
Deferred		
Federal		-
State		-
Total Deferred		-
Total income taxes	$	(463)

During 2021, The Partnership received $40,903 of state income tax refunds. The Partnership has recorded a net deferred tax asset of approximately $97,347,050 during the tax year ended December 31, 2021, primarily related to net operating loss carryforwards, deferred interest, and IDC expenses. The Partnership has $261,886,494 of federal net operating loss carryforwards as of December 31, 2021 and state net operating loss carryforwards of $88,393,353 that expire beginning in 2022. The Partnership has $29,639,061 of federal capital loss carryforwards available that can be carried forward until December 31, 2025. As a result of The Tax Reform Act, federal net operating losses and certain state net operating losses generated in tax years beginning after December 31, 2017 can be carried forward indefinitely. Realization of deferred tax assets associated with net operating loss carryforwards is dependent upon generating sufficient taxable income prior to their expiration. Management believes that the weight of available evidence suggests that it is more likely than not that the deferred tax asset will not be realized as of December 31, 2021 and have provided a full valuation allowance against the deferred tax asset comprised of the following:

		December 31, 2021
Net operating loss carryforwards	$	60,215,794
Capital loss carryforwards		7,974,390
Future deductible interest & other expenses		57,881,887
Tax Credits		245,256
IDC Amortization		7,292,272
Valuation Allowance		(97,347,050)
Deferred tax asset		36,262,549
Book versus tax basis difference in investments		(36,262,549)
Deferred tax liability		(36,262,549)
Net deferred tax asset/(liability)	$	-

As of December 31, 2021, the Partnership has examined all material federal and state tax positions for all open tax years and is not aware of any uncertain tax positions requiring adjustments to the tax liability. If applicable, we will record to the income tax provision any interest and penalties related to unrecognized tax positions.

NOTE 6 – FINANCIAL HIGHLIGHTS:

The following financial highlights for the year ended December 31, 2021, have been calculated in accordance with guidance provided in Accounting Standards Codification 946, “Financial Services – Investment Companies”:

Net investment loss ratio	0.0%
Expense ratios:	
Expenses	0.1%
Unearned incentive allocation	0.0%
Expenses including unearned incentive allocation ratio	0.1%
Internal rate of return net of incentive allocation (Inception to December 31, 2021)	-1.6%
Internal rate of return net of incentive allocation (Inception to December 31, 2020)	-8.4%

The net investment loss and expense ratios are calculated for the Limited Partners taken as a whole. The net investment loss and expenses ratios do not reflect the effects of the incentive allocation to the General Partner. The expense ratios include expenses allocated from Fund VIII and the effect of the income tax provision. The internal rate of return from inception is calculated based on the actual dates of the cash inflows and outflows and the residual value of the Limited Partners’ capital account, net of all incentive allocations, if any, as of each measurement date. Future realization of investments may be at different values than currently carried fair values, resulting in rates of return that may differ materially from that indicated above.

NOTE 7 – COMMITMENTS AND CONTINGENCIES:

The Partnership’s investments are subject to legal proceedings, claims, and litigation arising in the ordinary course of business. Each investee defends itself vigorously against any such claims. Although the outcome of these matters is currently not determinable, the General Partner does not expect that the ultimate costs to resolve these matters will have a material adverse effect on its financial position, results of operations, or cash flows.

ENCAP ENERGY CAPITAL FUND VIII-D, L.P.

FINANCIAL STATEMENTS

SEPTEMBER 30, 2022

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ENCAP ENERGY CAPITAL FUND VIII-D, L.P.

STATEMENT OF ASSETS, LIABILITIES AND PARTNERS' CAPITAL

		September 30, 2022
ASSETS		
Investment in EnCap Energy Capital Fund VIII, L.P., at fair value	$	121,593,724
Cash and cash equivalents		927,612
Total assets	$	122,521,336
LIABILITIES AND PARTNERS' CAPITAL		
Due to affiliate	$	—
Due to Limited Partners		681,599
Total liabilities		681,599
Partners' capital:		
General Partner		—
Limited Partners		121,839,737
Total partners' capital		121,839,737
Total liabilities and partners' capital	$	122,521,336

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND VIII-D, L.P.

STATEMENT OF OPERATIONS

	Nine months ended September 30, 2022
Net investment income allocated from EnCap Energy Capital Fund VIII, L.P.:	
Investment income	$ 5,632,158
Investment expense	(45,940)
Net investment income allocated from EnCap Energy Capital Fund VIII, L.P.	5,586,218
Investment income:	
Interest	373
Total investment income	373
Expenses:	
General and administrative	92,944
Total expenses	92,944
Net investment income	5,493,647
Realized and unrealized gain (loss) on investments allocated from EnCap Energy Capital Fund VIII, L.P.:	
Net realized loss on investments	(698,430)
Net change in unrealized appreciation on investments	22,206,674
Net realized and unrealized gain on investments allocated from EnCap Energy Capital Fund VIII, L.P.	21,508,244
Net increase in partners' capital resulting from operations	$ 27,001,891

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND VIII-D, L.P.

STATEMENT OF CHANGES IN PARTNERS' CAPITAL

	General Partner	Limited Partners	Total
Partners' capital at December 31, 2021	$ —	$ 107,749,347	$ 107,749,347
Capital distributions	—	(12,911,501)	(12,911,501)
Net increase in partners' capital resulting from operations	—	27,001,891	27,001,891
Partners' capital at September 30, 2022	$ —	$ 121,839,737	$ 121,839,737

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND VIII-D, L.P.

STATEMENT OF CASH FLOWS

	Nine months ended September 30, 2022
Cash flows from operating activities:	
Net increase in partners' capital resulting from operations	$ 27,001,891
Adjustments to reconcile increase in partners' capital resulting from operations to net cash provided by operating activities:	
Proceeds from EnCap Energy Capital Fund VIII, L.P.	13,074,167
Net investment income allocated from EnCap Energy Capital Fund VIII, L.P.	(5,586,218)
Realized loss on investment	698,430
Change in unrealized appreciation on investment	(22,206,674)
Change in operating assets and liabilities	
(Increase) decrease in due from Limited Partners	65,001
Increase (decrease) in due to affiliate	(73,328)
Increase (decrease) in due to Limited Partners	681,599
Net cash provided by operating activities	13,654,868
Cash flows from financing activities:	
Distributions to partners	(12,911,501)
Net cash used for financing activities	(12,911,501)
Net change in cash and cash equivalents	743,367
Cash and cash equivalents, beginning of period	184,245
Cash and cash equivalents, end of period	$ 927,612

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND VIII-D, L.P.

NOTES TO FINANCIAL STATEMENTS

NOTE 1 – ORGANIZATION:

EnCap Energy Capital Fund VIII-D, L.P. (the "Partnership"), a Texas limited partnership, was formed on October 7, 2010 to provide its partners with an opportunity to participate as a limited partner in EnCap Energy Capital Fund VIII, L.P. ("Fund VIII"), a Texas limited partnership. Fund VIII was formed on October 7, 2010 to invest in privately negotiated equity and equity-related investments in the upstream and midstream independent oil and gas sector of North America. The Partnership operates pursuant to a partnership agreement (the "Partnership Agreement") dated October 7, 2010, which should be referred to for a complete description of the provisions of the Partnership. EnCap Equity Fund VIII GP, L.P. ("General Partner"), a Texas limited partnership, is the sole general partner of the Partnership and the general partner of Fund VIII. The General Partner does not own an economic interest in the Partnership.

The Partnership's final close was on January 31, 2011. There are 10 investors owning the limited partnership interests ("Limited Partners") in the Partnership. The Limited Partners' total capital commitments to the Partnership are $270.6 million. There were no remaining commitments outstanding by the Partners to the Partnership.

As a limited partner in Fund VIII, the Partnership indirectly invests in all corresponding investments in Fund VIII and receives a proportionate amount of investment income, gains (losses) and expenses equal to its relative contribution of capital as pursuant to the Fund VIII partnership agreement. The financial statements of Fund VIII, including the Schedule of Investments, are attached to this report and should be read with the Partnership's financial statements. The Partnership's funded ownership interest in Fund VIII is 7.498648%. The Partnership will participate in Fund VIII indirectly through EnCap Energy VIII-D, Inc. ("Fund VIII-D, Inc."). Fund VIII-D, Inc. will hold record title to the limited partnership interest in Fund VIII as a nominee for and on behalf of the Partnership as described in the Agency Agreement. Beneficial ownership will remain with the Partnership, which will be treated as the owner of the Partnership interest in Fund VIII for U.S. federal income tax purposes.

The Partnership was to be dissolved upon the expiration of a 10-year period ending October 7, 2020. On October 6, 2020, the Partnership Agreement was amended to extend the life of the Partnership until December 31, 2022. The amendment was approved by greater than 80% of the Limited Partners.

NOTE 2 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

Basis of Presentation

The accompanying financial statements have been prepared on the accrual basis in accordance with accounting principles generally accepted in the United States of America ("GAAP"). The Partnership is considered an investment company under GAAP and follows the accounting and reporting guidance applicable to investment companies in the Financial Accounting Standards Board Accounting Codification ("ASC") 946, Financial Services – Investment Companies.

Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires the General Partner to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the dates of the financial statements and the reported amounts of revenue and expenses during the reporting period. Actual results, including the ultimate amount realized upon the sale of illiquid and/or fair valued investments, can, and often do, differ from those estimates.

Investment valuation and transactions

The Financial Standards Accounting Board ("FASB") guidance "Fair Value Measures," establishes a fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (level 1 measurement) and the lowest priority to unobservable inputs (level 3 measurements). The three levels of the fair value hierarchy under the guidance are as follows:

Level 1 Inputs that reflect unadjusted quoted prices in active markets for identical assets or liabilities that the Partnership has the ability to access at the measurement date;

Level 2 Inputs other than quoted prices that are observable for the asset or liability either directly or indirectly, including inputs in markets that are not considered to be active;

Level 3 Prices, inputs or modeling techniques which are both significant to the fair value measurement and unobservable (supported by little or no marked activity).

As of September 30, 2022, the investment in Fund VIII is excluded from the fair value hierarchy leveling as the fair value of the investment was measured at net asset value ("NAV") using the practical expedient. Fund VIII's valuation policies are discussed in Note 2 of the Fund VIII financial statements attached to this report.

Concentration of Risk

As the Partnership's investment in Fund VIII is primarily related to the domestic independent oil and gas sector, revenue and profitability are dependent upon numerous factors beyond the Partnership's control, such as economic and political developments in the industry and competition from other sources of energy. The energy markets have historically been very volatile and there can be no assurance that oil and gas prices will not be subject to wide fluctuations in the future. A substantial or extended decline in oil and gas prices could have a material adverse effect on the Partnership's financial position, results of operations and cash flows.

Fund VIII's investment program requires a moderate amount of diversification among its portfolio companies. Under the Partnership Agreement, Fund VIII may not invest more than 15% of total commitments in any one portfolio company without consent of at least 80% of its limited partners. This policy may subject Fund VIII to greater volatility than would usually be present in a more diversified portfolio, inasmuch as poor performance with respect to any one investment by Fund VIII may expose the Partnership to a greater degree of loss than would be the case with a more broadly diversified investment program.

Most of the total commitment will be invested through Fund VIII in privately negotiated equity and equity-related investments. Generally, there is no readily available market for such investments and, as such, Fund VIII might take longer to liquidate these positions than would be the case for investments in publicly traded securities. Although these securities may be resold in privately negotiated transactions, the prices on these sales could be less than those originally paid by Fund VIII. Also, issuers whose securities are not publicly traded may not be subject to public disclosure and other investor protection requirements applicable to publicly traded securities. In addition, the issuers of such privately negotiated securities are companies which typically have limited capitalization and limited operating histories, companies operating at a loss or with significant variations in operating results from period to period, companies which may need substantial additional capital to support operations and growth, and companies which may be highly leveraged. By their nature, such investments possess a high degree of business and financial risk that may result in substantial losses.

Cash and cash equivalents

Cash and cash equivalents consist of demand deposits and cash held in Fidelity Investments Money Market Funds Treasury Portfolio – Class I ("Fidelity money market account"), a money market fund which contains investments with weighted average maturities of three months or less. As of September 30, 2022, the Partnership has cash in its Fidelity money market account of $927,612. The Partnership places its cash and cash equivalents with financial institutions and, at times, cash held in bank accounts may exceed the Federal Deposit Insurance Corporation insured limit. Cash and cash equivalents are classified as Level 1 assets and are carried at cost or amortized cost which approximates fair value.

Income and Expenses

Income and expenses from the Partnership's general operations are recognized on the accrual basis.

Gains or Losses on Investments

Realized gains and losses on investments represent the pro-rata allocation of Fund VIII's difference between the original cost of the investments and the related market price at the sale or distribution date, net of expenses, as well as write-offs. The difference between the original cost and the estimated fair value of investments, including any receivable for holdbacks, owned at the end of the period represents unrealized gains or losses.

Income Taxes

No provision for federal income taxes is included in the accompanying financial statements. As the Partnership is not subject to income taxation, the tax effects of its activities accrue to the individual partners.

The Partnership's tax returns are subject to examination by federal and state taxing authorities. As of December 31, 2021, the earliest tax year that remains subject to examination under the standard limitation period is 2018. The Partnership's U.S. federal tax return for the year ending December 31, 2016 was under IRS examination during 2019. The IRS has closed the audit with no change. Pursuant to the Bipartisan Budget Act of 2015, for tax years beginning after December 31, 2017, if the IRS makes audit adjustments to the Partnership's income tax returns, it (and some states) may assess and collect any taxes (including any applicable penalties and interest) resulting from such audit adjustments directly from the Partnership. To the extent possible under the new rules, the Partnership's general partner may elect to either pay the taxes (including any applicable penalties and interest) directly to the IRS or, if eligible, issue a revised information statement to each current limited partner and former limited partner with respect to an audited and adjusted return. Although the Partnership's general partner may elect to have the limited partners take such audit adjustment into account and pay any resulting taxes (including applicable penalties or interest) in accordance with their interests in the Partnership during the tax year under audit, there can be no assurance that such election will be practical, permissible or effective in all circumstances. As a result, current limited partners may bear some or all of the tax liability resulting from such audit adjustment, even if such limited partners did not own an interest in the Partnership during the tax year under audit. If, as a result of any such audit adjustment, the Partnership is required to make payments of taxes, penalties and interest, the cash available for distribution to our limited partners might be substantially reduced. These rules are not applicable for tax years beginning on or prior to December 31, 2017.

In accordance with a provision of the FASB guidance "Income Taxes", the General Partner is required to determine whether a tax position of the Partnership is more likely than not to be sustained upon examination by the applicable taxing authority, including resolution of any related appeals or litigation processes, based on the technical merits of the position. The tax benefit to be recognized is measured as the largest amount of benefit that is greater than fifty percent likely of being realized upon ultimate settlement which could result in the Partnership recording a tax liability that would reduce partners' capital. Based on the General Partner's analysis, there are no material disclosures or adjustments impacting the Partnership's financial statements as of September 30, 2022. The Partnership does not expect that its assessment regarding unrecognized tax benefits will materially change over the next twelve months. However, the General Partner's conclusion may be subject to review and adjustment at a later date based on on-going analyses of tax laws, regulations and interpretations thereof and other factors.

NOTE 3 – ALLOCATIONS TO PARTNERS:

The Partnership Agreement provides that the net increase (decrease) in partners' capital resulting from operations associated with the Partnership is allocated 100% to the Limited Partners on a pro-rata basis.

NOTE 4 – TRANSACTIONS WITH RELATED PARTIES:

During the nine months ended September 30, 2022, the Partnership reimbursed EnCap Investments L.P. ("EnCap"), an affiliate of the Partnership, $161,766 for general and administrative expenses. At September 30, 2022, the Partnership owed EnCap $0 for general and administrative expenses. At September 30, 2022, the Partnership withheld certain required taxes of $681,599 on behalf of certain Limited Partners.

NOTE 5 – FINANCIAL HIGHLIGHTS:

The following financial highlights for the year ended December 31, 2021, have been calculated in accordance with guidance provided in Accounting Standards Codification 946, "Financial Services – Investment Companies":

Net investment loss ratio	-0.1%
Expense ratios:	
Operating expenses	0.2%
Unearned incentive allocation	0.0%
Operating expenses and unearned incentive allocation ratio	0.2%
Internal rate of return net of incentive allocation (Inception to December 31, 2021)	-1.7%
Internal rate of return net of incentive allocation (Inception to December 31, 2020)	-8.6%

The net investment loss and expense ratios are calculated for the Limited Partners taken as a whole. The net investment loss and operating expenses ratios do not reflect the effects of the incentive allocation to the General Partner. The expense ratios include expenses allocated from Fund VIII. The internal rate of return from inception is calculated based on the actual dates of the cash inflows and outflows and the residual value of the Limited Partners' capital account, net of all incentive allocations, if any, as of each measurement date. Future realization of investments may be at different values than currently carried fair values, resulting in rates of return that may differ materially from that indicated above.

NOTE 6 – COMMITMENTS AND CONTINGENCIES:

The Partnership's investments are subject to legal proceedings, claims, and litigation arising in the ordinary course of business. Each investee defends itself vigorously against any such claims. Although the outcome of these matters is currently not determinable, the General Partner does not expect that the ultimate costs to resolve these matters will have a material adverse effect on its financial position, results of operations, or cash flows.